

DOCUMENT OF INTERNATIONAL MONETARY FUND AND FOR OFFICIAL USE ONLY

**FOR
AGENDA**

SM/12/159

June 28, 2012

To: Members of the Executive Board

From: The Secretary

Subject: **Grenada—Staff Report for the 2012 Article IV Consultation**

Attached for consideration by the Executive Directors is the staff report for the 2012 Article IV consultation with Grenada, which is tentatively scheduled for discussion on **Friday, July 13, 2012**. At the time of circulation of this paper to the Board, the authorities of Grenada have indicated that they need more time to consider whether they will consent to the Fund's publication of this paper. Publication will only proceed upon the receipt by the Fund of the member's explicit consent. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Ms. Thacker (ext. 37464), Mr. Thomas (ext. 39007), and Ms. Chen (ext. 37917) in WHD.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Monday, July 9, 2012; and to the Caribbean Development Bank and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

Att: (1)

Other Distribution:
Department Heads



INTERNATIONAL MONETARY FUND

GRENADA

STAFF REPORT FOR THE 2012 ARTICLE IV CONSULTATION

June 26, 2012

KEY ISSUES

Following two years of contraction, a fragile recovery seems to be underway. Tourism, which was especially hard hit by the global crisis, is showing signs of a turnaround. However, there are significant downside risks, including from the continued global uncertainty, budget financing risks (especially this year), and financial sector vulnerabilities. The main policy challenge is to implement a credible fiscal strategy without jeopardizing the still-fragile recovery. To this end, policy discussions focused on enhancing medium term growth prospects, fiscal consolidation to bring down the high debt level, and strengthening financial sector stability.

Enhancing growth and competitiveness: Grenada faces a sizeable competitiveness gap as increases in production costs—including from wages, energy and low productivity—have put downward pressure on profit margins and discouraged investment. Achieving higher growth and sustained employment generation will therefore require wage discipline as well as structural reforms to reduce the cost of doing business.

Fiscal consolidation and reducing debt: The high level of public debt, combined with large fiscal deficits and large financing requirements in the absence of fiscal reforms, pose significant risks. There is an urgent need to put the public debt on a sustainable path through sustained primary surpluses. There is scope to generate these surpluses through comprehensive revenue reforms and by addressing the structural rigidities in current spending. Such reforms could generate more fiscal space to reverse the declining trend in capital spending, address development priorities, and generate growth and employment while bringing down the high debt level. Improved debt management policies will also help in this regard.

Reducing financial sector vulnerabilities: Safeguarding financial stability in the face of rising risks is critical. System-wide capital adequacy levels are above the required statutory levels, but vulnerabilities arise from rising non-performing loans (NPLs) and declining profitability. Strengthening financial sector supervision and a more proactive approach to ensuring that financial institutions meet prudential standards should be a priority.

Approved By
Mr. David Vegara and
Mr. Jan Kees Martijn

A staff team comprising N. Thacker (Head), S. Thomas, R. Chen (all WHD) and C. Henn (SPR) visited Grenada during May 7–17, 2012. W. Samuel, Regional Representative of the IMF and J. Rolle (OED) also participated in the mission. Representatives from the CDB and ECCB also joined the mission. The mission met with the Minister of Finance Hon. Nazim Burke, the Permanent Secretary of the Ministry of Finance Timothy Antoine, other senior government officials, the opposition leader and his team, senior management of the private sector and commercial banks, and donors.

CONTENTS

CONTEXT	4
A. Recent Developments	5
B. Outlook and Risks	7
POLICY DISCUSSIONS	10
A. Growth Challenge	11
B. Fiscal and Debt Challenges	16
C. Financial Sector	23
STAFF APPRAISAL	24
BOXES	
1. International Competitiveness	8
2. Tourism Sector: Scars of Two Large Shocks	12
3. State-Owned Enterprises (SOEs)	15
4. Potential EXIM-China Loan for a Luxury Hotel	22
FIGURES	
1. Growth and Inflation	26
2. Banking System Vulnerabilities	27
3. Fiscal Sector Indicators	28
4. External Sector Indicators	29

TABLES

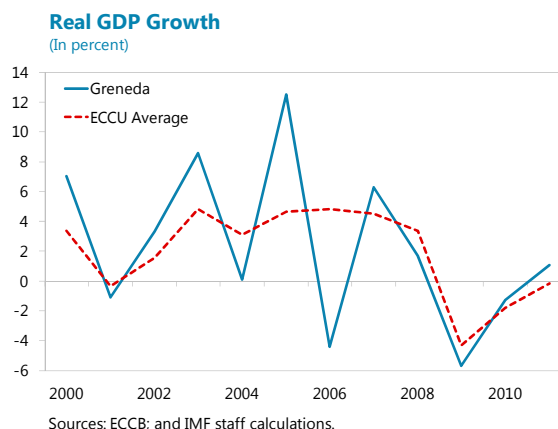
1. Selected Economic and Financial Indicators, 2009–12	30
2. Summary of Central Government Operations and Stock Position, 2009–17	31
2a. Summary of Central Government Operations and Stock Position, 2009–17	32
3. Summary Accounts of the Banking System, 2008–12	33
4. Summary Balance of Payments, 2008–17	34
5. Public Sector Debt, 2010–11	35
6. Medium-Term Macroeconomic Framework, 2009–17	36
7. Vulnerability Indicators, 2006–11	37

ATTACHMENT

1. Risk Assessment Matrix	38
2. Draft Public Information Notice	39

CONTEXT

1. In recent years, a series of exogenous shocks have buffeted Grenada, causing sharp fluctuations in output and putting pressure on the fiscal accounts. After Hurricane Ivan in 2004, the ongoing global economic crisis, combined with continued food and fuel price increases, have wreaked heavy damage to the economy. A fragile recovery, mainly driven by agriculture and a modest recovery in tourism, appears to be underway after two years of contraction during 2009 and 2010. Unlike tourism, the construction sector, which was hit hard by the crisis, still remains weak. The slow and uncertain global recovery is likely to weigh on near-term growth. Medium-term prospects will depend on the government's ability to take some bold policy actions to tackle the large fiscal and current account deficits, reduce the high level of public debt, and implement structural policies to generate sustained private sector growth.



2. The ECF-supported program has been on hold since mid-2011.¹ The program was approved by the Board in April 2010. The first review of the ECF-supported program was successfully completed in November 2010 with all the performance criteria and structural benchmarks met. However, given continued weakness in growth in 2010 and early 2011, the authorities decided to interrupt implementation of the program to undertake fiscal stimulus measures that resulted in larger primary deficits and a higher debt-to-GDP ratio, and also to reflect on possible revisions to their medium-term strategy. As a result, subsequent reviews have not been completed. That said, the authorities continue to work closely together with staff on growth-enhancing structural reforms.

3. Elections are due by April 2013. On May 15, the Prime Minister survived a no confidence vote tabled by the main opposition party, but some ministers of parliament voiced considerable dissatisfaction with the failure of current policies to address weak economic growth. Given these political developments and the upcoming elections, no bold policy actions are expected to be implemented in the near term.

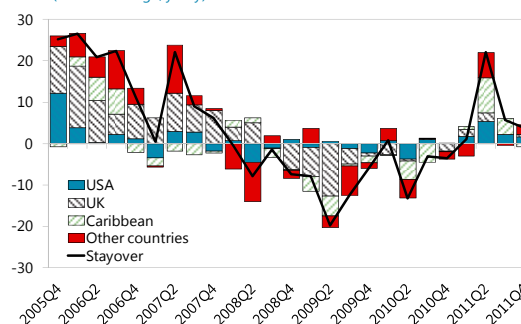
¹ The current ECF arrangement expires in April 2013.

A. Recent Developments

4. A fragile recovery seems to be underway.

Following two years of contraction in economic activity (a cumulative decline in real GDP of 7 percent), preliminary data for 2011 indicate that the economy recovered by 1.1 percent, mainly driven by the agriculture and tourism sectors. Construction activity declined for the sixth year in a row. Private sector activity remains subdued as banks remain wary of lending. Unemployment remains high, especially among the young.²

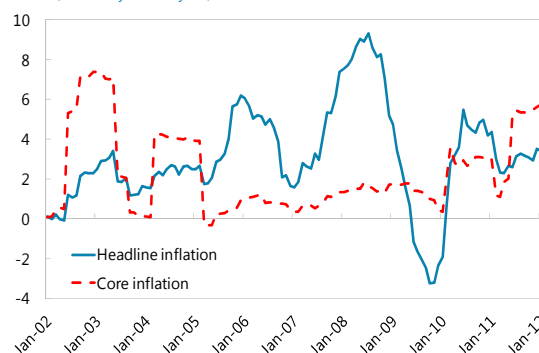
Grenada: Stayover Arrivals
(Percent change, y-o-y)



Sources: ECCB; and IMF staff calculations.

5. Inflation has moderated in recent months. Despite a jump in core inflation to 5.8 percent in February, reflecting a one-off structural price hike in the communications sector, headline inflation has declined from its peak of 4.4 percent (y/y) in January 2011 to 3.5 percent (y/y) in February 2012, reflecting the decline in international commodity prices. However, food inflation increased at the start of 2012, likely reflecting increased high-season demand from the tourism sector.

Grenada: Inflation
(Percent, year-on-year)

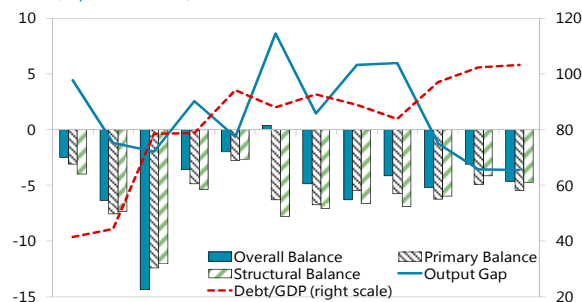


Sources: Ministry of Finance, and IMF staff estimates.

6. The fiscal situation deteriorated considerably in 2011, reflecting the government's expansionary fiscal stance.

Preliminary data suggest that the primary deficit excluding grants reached 5½ percent of GDP, up from 4.9 percent of GDP in 2010. With the economy still seemingly weak during the first half of last year, the authorities extended the temporary tax breaks for the business sector resulting in significant revenue shortfalls.³ Expenditures were also higher, reflecting acceleration of some domestically financed capital projects as well as some new schemes to provide temporary jobs to the

Fiscal Balances
(In percent of GDP)



Sources: Country authorities; and IMF staff calculations.

² The official unemployment rate was 25 percent in 2008, and is currently estimated to be in the range of 25-30 percent. Official youth unemployment rate was 36 percent in 2008.

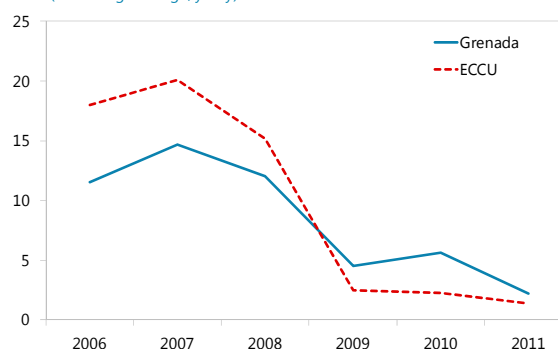
³ In October 2010, the authorities granted a 10 percent rebate to manufacturers on their gross sales, a 50 percent reduction of VAT on selected construction materials, and eliminated excise taxes on new motor vehicles. The first two exemptions were to expire at end-2011 but have been extended to September and December 2012, respectively. The excise taxes on motor vehicles were reinstituted in January 2012.

unemployed. With net external transfers negative, due to lower-than-expected external disbursements, and shortfalls in revenues, the authorities had to issue significant amounts of short-term government paper to meet financing needs.⁴ Despite this, domestic unpaid claims also increased and the government accumulated some arrears vis-à-vis external creditors.⁵ Total public sector debt increased to 103.3 percent of GDP at end-2011, from 102.4 percent of GDP at end-2010.

7. In late 2011, a New York court handed down a ruling ordering all foreign currency payments to Grenada be put in an escrow account to meet overdue obligations to Taiwan POC. The underlying debt (around 3.7 percent of GDP) results from four loans contracted during the 1990s and had previously been disputed between the two parties. The restraining order issued in late 2011 has led to a drying up of landing and docking fees and is putting pressure on the airport authority, the port authority, and the water and sewage company (all three are statutory bodies). Staff estimates suggest that the annual shortfall could be in the order of 1 percent of GDP. The central government has redoubled its efforts and in March 2012 approached Taiwan POC bilaterally, with a proposed schedule for payments. Unless this matter is resolved quickly, it is expected that the government may have to transfer some resources, chiefly to the airport authority, so that the latter can continue operating.

8. Private sector credit remains sluggish, while reported non-performing loans (NPLs) have increased. Private sector credit growth slowed to 2.2 percent (y/y) in December 2011 compared with 5.6 percent (y/y) a year ago, as banks continued to tighten lending standards. Bank profitability indicators, including return on equity have also declined although capital adequacy ratios remain above the ECCB statutory thresholds.⁶ Reported NPLs reached 9.4 percent in December 2011, up from 7.6 percent in December 2010, mainly reflecting the weak construction sector. The balance sheets of some of the institutions have deteriorated significantly.

Credit to the Private Sector
(Percentage change, y-o-y)



9. Efforts to resolve the fallout from the insolvency of the two CL Financial Group related insurance companies—BAICO and CLICO—are ongoing. On BAICO, a Medical Support Fund has been set up to meet claims of policy holders, and discussions are underway to sell the life insurance

⁴ Last year, the government issued EC\$87 million in T-bills (4 percent of GDP) versus an average of EC\$18 million issued in the previous three years. About half of these were issued in the regional government securities market, while the rest were sold in private placements to domestic entities and other investors.

⁵ The total stock of domestic unpaid claims increased by EC\$13.4 million and stood at EC\$63.6 million as of April 2012. As of mid-May, external arrears amounted to EC\$12 million (about ½ percent of GDP), including to Kuwait, France, Trinidad and Tobago, and the Caribbean Development Bank.

⁶ Grenada is a member of the Eastern Caribbean Currency Union (ECCU), with a peg to the US dollar.

portfolio. Discussions are also ongoing with regional governments to help address the claims of the annuity holders. Likewise, discussions with regional governments to resolve the fallout from CLICO are also underway.

10. While the external current account deficit remained unchanged in 2011, there are concerns about its medium-term sustainability. The current account deficit remained at 25.3 percent of GDP, reflecting an increase in tourist receipts which offset the increase in imports and decrease in current transfers. However, financing of the current account deficit in 2011 has relied more heavily on debt-related flows, including increases in banks' foreign liabilities. Private domestic consumption has not adjusted sufficiently downwards to the significant terms of trade shock the country has experienced since 2003 (see Box 1: International competitiveness).⁷

B. Outlook and Risks

11. Under the baseline scenario, Grenada would remain in a low growth, high debt and high unemployment situation. Growth is expected to reach 1½ percent in 2012, aided by a pickup in the construction sector and robust tourism and agriculture sector growth. Over the medium term, growth is expected to reach 2½ percent, once the construction of the Teaching Hospital commences in mid-2013.⁸ Headline inflation is expected to remain in the 3–3½ percent range in 2012, given still high international commodity prices, but would return to its long-run trend of 2 percent by 2014. Assuming no major fiscal measures to address low revenues and rigidities in current expenditures are implemented, primary deficits (excluding grants) would remain in the 3–4 percent range with the public debt-to-GDP ratio hovering in the 100 percent range. However, there are downside risks that the large domestic financing needs may not be met, implying further cuts to capital spending. The current account deficit is expected to peak at 32.1 percent of GDP in 2014, reflecting large imports for the Teaching Hospital, and is expected to return to still-elevated levels about 22 percent of GDP over the medium term.

12. Grenada's public debt is high and any large shock or slippage could lead to unsustainable debt dynamics. The Debt Sustainability Analysis (DSA) shows that, with debt at 103.3 percent of GDP in 2011, Grenada continues to breach by considerable margins two of three prudent thresholds for external debt stock levels. In addition, debt service payments are projected to mount during the next few years, due to higher coupon payments on the commercial external bond and the tilt towards short-term financing, and may come to pose large risks, including those related to the rollover needs of the considerable short-term domestic debt.

⁷ Household balance sheet information is not available, but the increase in non-performing loans suggests that some domestic private sector agents have overextended themselves regarding their capacity to carry debt, by delaying adjustment to these shocks.

⁸ The government is working on a joint venture with St. George's University (SGU) to establish a Teaching Hospital, with advice from the International Finance Corporation (IFC). The authorities are expected to borrow (directly or providing a guarantee) funds for construction of this facility. The baseline fiscal scenario includes this borrowing as a direct government liability.

Box 1. Grenada's International Competitiveness

This box assesses trends in Grenada's competitiveness based on real effective exchange rates, unit labor and intermediate input costs, and CGER methods. It concludes that competitiveness has become a bigger challenge over the past few years. This partly reflects the rise in intermediate input costs in the face of large terms of trade shocks as well as the limited adjustment in response to this and other external shocks. The tourism industry, whose costs have risen significantly more than its product price, is particularly affected.

Most real effective exchange rate measures point to some deterioration in competitiveness resulting

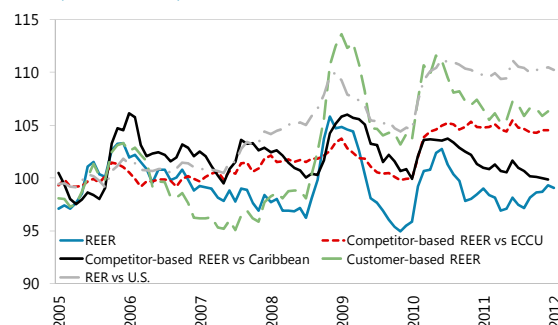
from food and fuel price driven terms of trade shocks. Three types of REER measures are explored. First, Grenada's standard REER has been largely flat since 2005, though its fluctuations illustrate high pass-through of food and fuel prices. Second, REER measures compared to competitors in the Caribbean and ECCU also have stayed broadly constant since 2005. Third, REER measures compared to the U.S. and to home countries of tourism customers did appreciate by roughly 10 percent. The appreciation largely reversed a 15 percent decline during 2001–04, which helped underpin the success of Grenada's tourism sector during that period. Maintaining competitiveness is paramount against the backdrop that tourists arguably have become more price sensitive post crisis and Grenada is more remote and expensive to reach than many competitors.

Grenada's tourism product has been losing competitiveness, as costs have risen faster than price. Based on the analysis of a typical hotel's cost structure, whose inputs are comprised of intermediate inputs, labor, and capital, it appears that nominal labor and intermediate input costs have increased by more than 40 percent on average since 2003, while the price of Grenada's tourism product only rose 20 percent. At the same time, the share of revenue going towards covering capital costs has halved since 2003, partly explaining the deterioration in the quality of Grenada's tourism product vis-à-vis competitors due to disinvestment in the sector (Box 2).

Intermediate input costs have soared on the back of global food and fuel price shocks.

Energy is a major cost factor and in Grenada is derived entirely from imported fuel. Likewise, much food is also imported, given that the local agricultural sector still remains unreliable at times, despite some improvements. Thus, the import price index constitutes a good proxy for intermediate input costs. It has increased by 54 percent since 2003. Meanwhile tourism prices lagged given the incomplete recovery after the 2004 hurricane, resulting in a 30 percent decline in Grenada's terms of trade.

CPI Based Real Effective Exchange Rates
(Index, 2005=100)



Sources: IMF, World Economic Outlook; IMF, International Financial Statistics; and IMF staff calculations.

Cost of producing tourism services in Grenada, 2011 vs. 2003

	Increase 2003-2011 (percent)	Share on total cost (percent)	
		2003 1/	2011
Unit price for tourism service 2/	20.4	100	100
<i>Allocation by factor of production:</i>			
Intermediate Inputs	54.2	38	49
Labor	31.4	35	38
Capital 3/	...	27	13

Sources: ECCB, Grenadian authorities, Caribbean Development Bank, and IMF Staff estimates.

1/ Based on discussions with hotel managers and broadly in line with OECD averages for Grenada's level of per capita income.

2/ Tourism prices (i.e. expenditure per tourist per night) increased by 20.4 percent over the period 2003-2011 but is normalized to 100 in both years to capture the shares of the different factors of production.

3/ Capital is determined residually for 2011.

Box 1. Grenada's International Competitiveness (Continued)

Unit labor costs (ULC) also increased substantially.

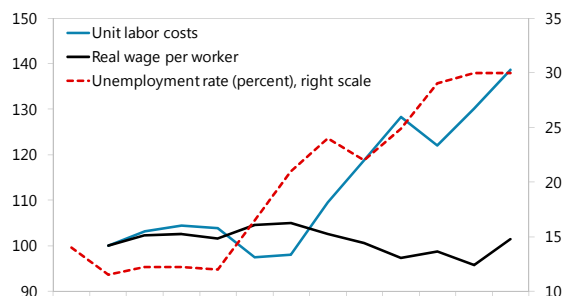
The second major input for the tourism sector is labor. ULC have increased by about 30 percent since 2003, mainly on account of higher nominal wages, while productivity stagnated. Stagnant productivity is partly the result of lower capacity utilization, particularly in the tourism sector, as much of the wage bill represents fixed costs of operating such as maintenance. Real wages were stable in the period, despite soaring unemployment.

Remuneration to capital has been compressed. The analysis shows that the share of revenue going to capital may have halved since 2003. The consequences for the tourism sector have been lower or negative profits, in some cases resulting in difficulties to service debt and closures of establishments. In addition, the low profitability has detracted investment and consequently led to a deterioration of the quality of the tourism product.

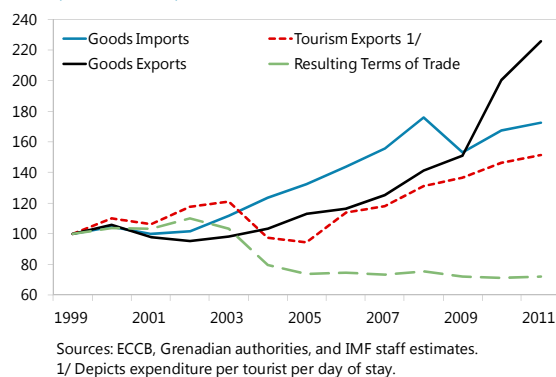
Estimates using methodologies similar to CGER vary widely in magnitude, but they all underscore the need to improve competitiveness. Grenada's steady-state current account balance—though mostly financed through FDI and public sector external grants and concessional loans—exceeds both the current account norms of the macroeconomic balance and external sustainability approaches by 7–8 percentage points of GDP, for an estimated overvaluation of the real exchange rate in the 30–35 percent range. The equilibrium real exchange rate approach points to an overvaluation of 20 percent.¹

¹This estimate is derived by estimating the coefficients of the ERER model over a sample period from 1973 to 2000. This avoids over-fitting of coefficients which can result by including the period after 2000 during which the REER has stayed largely stable, while fundamentals such as relative productivity, terms of trade, and the net foreign asset position have deteriorated.

Grenada: Labor Costs
(Index, 2000=100)



External Trade Deflators and Terms of Trade
(Index, 1999=100)



The DSA also highlights that Grenada's debt sustainability is highly susceptible to growth declines, underlining the need to tackle competitiveness problems.

13. Risks are tilted to the downside. For this year, the main risk comes from budget financing constraints which could lead to a further build-up of arrears and jeopardize the planned capital projects, which are expected to generate growth and employment (see below). In addition, there are risks from adverse developments in global markets, especially Europe, the main source of tourism and FDI (see Attachment 1: Risk Assessment Matrix). Any intensification in the Euro area crisis could potentially weaken the tourism sector and put pressure on revenues and result in a widening of the primary deficits and higher debt. In addition, these developments could affect the sustainability of the high and increasingly debt-financed current account deficit, if FDI inflows, which have been dropping steadily since the 2004 hurricane, continue to decline. On the financial sector, failure to address the deterioration in the banking system and the large credit unions could undermine confidence and entail fiscal risks (see paragraph 33). In addition, spillovers from banking sector problems in the region, which have been contained so far, could exacerbate these risks. On the positive side, there are some upside risks if Grenada manages to secure concessional loans from the China Development Fund for infrastructure projects from China's recently-instituted US\$1 billion fund for the Caribbean.

POLICY DISCUSSIONS

14. Implementation of past Fund policy advice. The previous Article IV consultation (IMF Country Report 10/14) highlighted the need to (i) generate primary surpluses to place public debt on a sustainable path supported by accelerating tax and customs reforms, (ii) increase the efficiency of spending while protecting social expenditures, and (iii) enhance public financial management. In addition, it recommended carefully monitoring vulnerabilities in the financial sector while strengthening supervision of non-bank financial institutions and improving the business climate. In light of the protracted slowdown in the economy, the authorities decided to slow the pace of fiscal consolidation, which has resulted in higher primary deficits, an accumulation of arrears and higher debt-to-GDP ratios than were envisaged at the time. Progress on fiscal structural reforms has been somewhat mixed. The VAT was introduced in early 2010 as planned, ASYCUDA World⁹ for customs is being rolled out, and the three major cash transfer programs have been consolidated into one, but there has been little progress in reducing the wage bill and the Public Procurement Act is yet to be passed. On financial sector reforms, substantial progress has been made in strengthening supervision of non-bank financial institutions by GARFIN (see below). Progress has also been made in improving the business climate, especially by streamlining procedures for starting a business and improvements at customs.

⁹ ASYCUDA is a computerized customs management system which covers most foreign trade procedures. ASYCUDA World is the latest version of the software that has been enhanced by web interface technology to revolutionize Customs. The ASYCUDA World project in Grenada is funded through the World Bank.

15. Policy discussions focused on the three key challenges faced by Grenada: (i) restoring sustained growth and generating employment through reforms aimed at increasing competitiveness and wage discipline; (ii) resuming fiscal consolidation to put debt on a firm downward trajectory and decreasing budgetary rigidities to build a growth-oriented budget; and (iii) strengthening the financial sector.

A. Growth Challenge

16. There has been a secular decline in Grenada's growth over the last decade. Average real GDP growth declined to 2.2 percent during 2000–10 compared to 4.6 percent in the previous 10 years. Estimates point to a significant overvaluation of the exchange rate, from 20–35 percent (Box 1), depending on the methodology used. Losses in competitiveness, brought about by a combination of external shocks and inadequate policies to adjust to these shocks, have undermined growth.

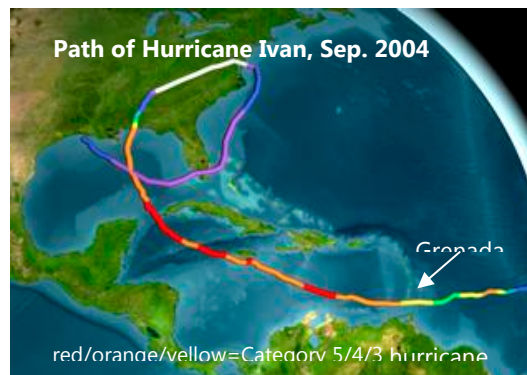
- **External shocks have put pressure from two angles.** First, prices and volume of tourism services, Grenada's largest export, have been battered by two large external shocks—Hurricane Ivan in 2004 and the Great Recession in 2009 (see Box 2: Tourism sector). Sluggish investment in the aftermath of these shocks has had a negative impact on product quality relative to competitors and kept pricing power low. Second, higher global prices for food and fuel imports and pass-through into wages have increased unit costs of producing tourism services by about 30 percent since 2003.
- **Domestic policies and institutions have not been able to successfully address the challenges resulting from these shocks.** Unit labor costs in the overall economy have grown 40 percent since 2003 reflecting a growing divergence between productivity and real wages. Productivity has declined reflecting a depreciating capital stock and lack of FDI. The decline in public investment at the same time has further exacerbated the negative effects. Real wages have remained constant, despite large terms of trade shocks, reflecting rigidities in the labor market. Along with rising energy prices and a decline in external demand, this has depressed corporate profit margins. Unemployment has risen from 12 percent in 2003 to 25 percent in 2008. While some progress has been made on structural reforms to improve the business climate, these have not been sufficient.

17. Staff argued that generating strong economic growth will require a major shift in policy orientation and structural reforms. A multi-faceted growth strategy that addresses the competitiveness issues is critical to boost long-term growth. Discussions focused on the benefits from structural reforms, including:

- **Improve tourism competitiveness, including through strict wage discipline:** The government can play an important supportive role to set the stage for a forceful recovery of this crucial sector. First, given the leading role that public wages play, it will be important for the government to avoid increases in nominal wages in the currently ongoing public sector wage

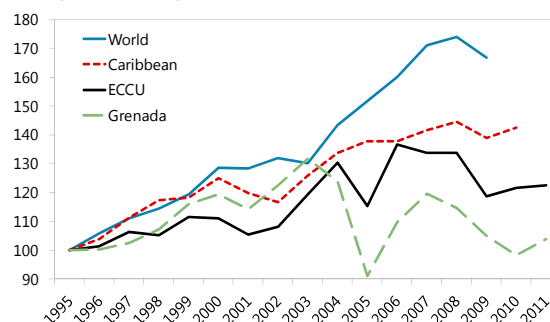
Box 2. Grenada's Tourism Sector: Scars of Two Large Shocks

The tourism sector is paramount to Grenada's growth and external sustainability, constituting about 20 percent of the economy and 70 percent of export earnings. Up to 2004, Grenada maintained its share of stay-over arrivals in the Caribbean tourism market and even gained ground vis-à-vis ECCU competitors. In fact, in the post-2001 period following the 9/11 attack, when World, Caribbean and ECCU tourism stagnated or declined, Grenada actually mustered an increase in stay-over arrivals. Available evidence suggests that the quality of Grenada's tourism product was broadly constant or gradually improving between 1995 and the early 2000s as expenditure per visitor was falling less than on a global basis. However, this situation changed dramatically as two shocks hit the country:



Shock 1: Hurricane Ivan. Ivan constituted a large and idiosyncratic shock in September 2004. The strong category 3 storm moved east to west across Grenada, causing catastrophic damage but leaving the ECCU and Caribbean at large much less affected. Grenada's tourism sector consequently lost considerable market share relative to all its competitor groups. With FDI inflows also lagging the region by a cumulative 15 percentage points of GDP during 2005–07, despite greater investment need, Ivan arguably left Grenada with a lower-quality tourism product. Consequently, the post-hurricane rebound was not sufficiently strong to return Grenada's tourism sector to past levels and growth had to be achieved amid heavy discounting. Expenditure per visitor remained broadly flat at a time when it was rising globally.

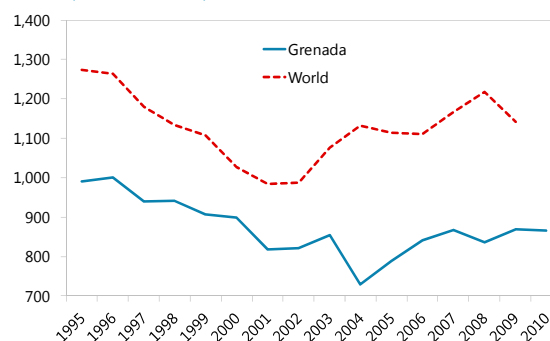
Tourist Stay-over Arrivals
(Index, 1995=100)



Sources: Caribbean Tourism Organization; World Development Indicators; and IMF staff calculations.

Shock 2: The Global Crisis. The global crisis was particularly damaging to Grenada, also because it stopped the post-Ivan recovery in its tracks. Stay-over arrival numbers started declining again to their 1995 levels and expenditure per visitor flattened out. FDI, while reaching regional averages, declined in absolute terms, thereby leaving little margin for Grenada to improve its tourism offerings compared to competitors. Moreover, high debt and budgetary rigidities constrained government's room of maneuver.

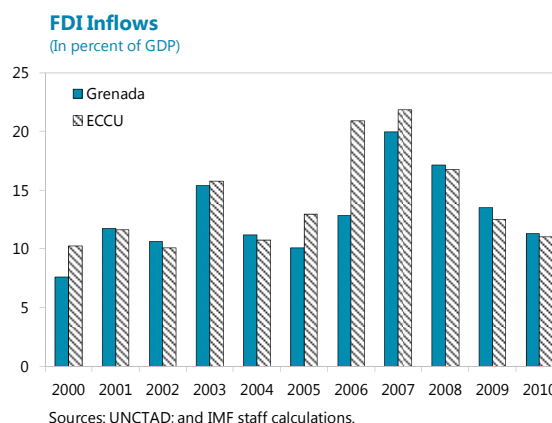
Expenditure per Tourist
(2009 constant US\$)



Sources: World Development Indicators; and IMF staff calculations.

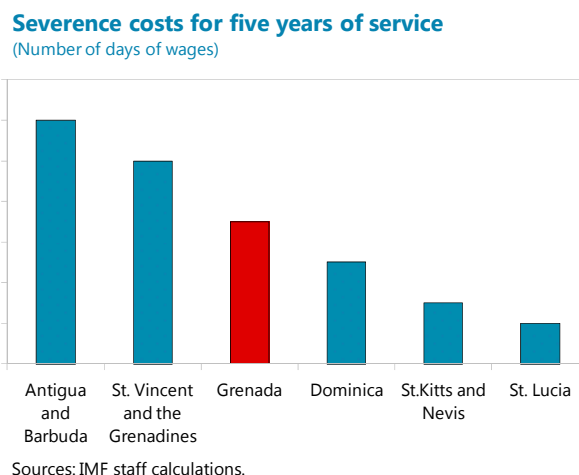
Box 2. Grenada's Tourism Sector: Scars of two Large Shocks (Continued)

Obstacles to the tourism sectors' growth need to be addressed ambitiously. The effect of these shocks was cushioned by increases in cruise ship tourism and foreign enrollment at the local St. George's University. However, cruise operators are pulling out of Grenada in 2012—cruise arrivals are projected to fall 20 percent—given higher demand in other markets and operators' desire to save on fuel costs. Rapid implementation of the tourism strategy, approved in late 2011 envisages various institutional improvements. With global tourists becoming more discriminating, improving the value of the tourism product will be key to attracting tourists. Containing rising costs, including rising unit labor costs (Box 1), combined with a more supportive government role could improve the sector's competitiveness. In particular, government initiatives and reforms that foster positive externalities in the tourism sector, both by more efficiently exploiting existing tourist attractions and undertaking targeted new investments aimed at sparking private sector development remains critical. To free up necessary resources, the budget will have to become more growth oriented by addressing long-standing budget rigidities, including the high wage bill.



round.¹⁰ Second, infrastructure enhancements that generate positive externalities and stimulate improvements of the tourism product are critical. Third, further fostering linkages between the agricultural and tourism sectors would reduce the high dependence on imported food.

- Raise productivity by improving labor skills and increased labor market flexibility:** With youth unemployment at around 36 percent, even marginal reforms that address skill upgrading and matching could yield large dividends. Although literacy rates are over 90 percent, less than six percent of the work force has a college degree, indicating that the bulk of the labor force is made up of unskilled workers. In addition, labor markets are relatively rigid in terms of the hiring and



¹⁰ At 10 percent of GDP, Grenada's wage bill is line with ECCU average. Civil service wage increases are currently being negotiated retroactively for the period 2009–2011. The government is offering increases of 0, 1, and 1 percent for 2009, 2010, and 2011, respectively, while the unions are asking for increases of 5, 5, and 7 percent.

firing costs. For instance, severance cost in Grenada (about one week's pay per year of service) is among the highest in the ECCU region (see chart). Grenada has a relatively high degree of unionization among workers in the formal economy (union membership is around 80 percent) and considerable efforts are needed to enroll trade unions in the development process and improve labor market institutions to make them more responsive to the needs of the economy.

- **Focus on pro-growth spending:** After accounting for debt service, the bulk of public spending (about 60–70 percent) goes toward current spending, most notably for wages and salaries. In the last couple of years, financing constraints have precluded the implementation of key donor-financed projects due to lack of government co-financing resources. Staff emphasized the need to refocus spending on such projects to underpin growth and unemployment reduction.
- **Improve the investment climate:** Full implementation of ASYCUDA World, now complete at all ports, is expected to lower trade costs going forward. However, further gains could be reaped through measures to modernize customs clearance procedures, harmonization of company registration, improvements in contract enforcement, and streamlining procedures for starting and closing a business.
- **Small and medium enterprise (SME) development:** A National Policy Statement on Small Business Development was prepared some time ago with support from the World Bank. However, many of the recommendations, including strengthening support services for SMEs like helping to develop business plans and training opportunities, are yet to be implemented. Staff emphasized that enhancing support services, increasing labor market flexibility and clearance of public sector arrears to SMEs are important for the development and success of this sector.¹¹
- **Alternative sources of energy:** Energy, exclusively derived from oil, is an important part of operating costs in Grenada. With a National Energy Policy approved last year, the authorities are exploring the development of renewable sources of energy. Staff encouraged the authorities to seek World Bank assistance to expedite the process.
- **State Owned Enterprises (SOE):** There is currently no systematic reporting by the SOEs and although SOEs are required to submit their annual audited financial statements, the compliance rate is low. While closer monitoring is crucial, capacity limitations have so far prevented any meaningful enforcement of reporting requirements (Box 3).¹²

18. The authorities agreed that structural reforms were essential to improving competitiveness and removing impediments to growth.¹³ The government is starting to implement its tourism strategy, which focuses on a number of institutional improvements to better manage the country's tourist attractions and strengthen the backward linkages to the economy, including agriculture. They are keenly pursuing the scope for the development of renewable sources

¹¹ Also, in 2011 job-specific minimum wages, which mainly affect non-unionized workers of small employers, were revised considerably upwards.

¹² Current government guaranteed debt of SOEs is estimated at 6.2 percent of GDP. There have been no calls on these guarantees in the last years.

¹³ The authorities have already completed a preliminary Poverty Reduction Strategy Paper (PRSP).

Box 3. State-Owned Enterprises (SOEs)

Total government guaranteed debt owed by SOEs was about 6 percent of public sector debt at end-2011, and has decreased slightly from 7.9 percent at end-2010. This box gives a brief overview of SOEs, their potential risks to the budget, and policy recommendations.

Number and size. There are 29 SOEs in Grenada. Among them the National Insurance Scheme, National Water and Sewerage Authority, Grenada Ports Authority, Marketing and National Importing Board, and Gravel, Concrete, and Emulsion Production Corporation are the five largest in terms of number of employees.¹

Government guaranteed debt. Total government guaranteed debt stood at EC\$137.7 million at end-2011 (of which 61 percent is external and the rest is domestic). As of end-2011, ten SOEs had borrowed with government guarantees (four of them borrowed both domestically and externally).

Government transfers and arrears. In recent years, there were no significant government transfers to SOEs. However, SOEs continue to benefit from ad hoc tax exemptions. On the other hand, due to financing constraints, the government has accumulated significant amount of arrears to SOEs. The authorities are working on a plan to offset outstanding arrears against ad hoc tax exemptions provided to SOEs.

Financial conditions. It is very difficult to monitor and assess SOEs' financial status since they don't report systematically. Less than half of SOEs submitted their audited financial statements to the Parliament as required under the Public Financial Management Act of 2007 (PFMA). Moreover, business plans and annual reports are not available for most SOEs.

Recommendations. The authorities agreed with staff that it was essential to strengthen the monitoring and management of SOEs given that they represent an important source of contingent liability for the central government. It is critical to enforce the legal reporting requirements and build capacity in the Ministry of Finance to monitor and assess the financial status of SOEs and take preemptive actions to forestall any upcoming risks from their operations.

Selected Statistics of Large State-Owned Enterprises

	Number of Employees	Stock of Guaranteed Debt as of Dec-11 (millions of EC\$)	Total Assets as of Dec-10 (millions of EC\$)
Grenada Ports Authority	248	51.7	250
National Water and Sewerage Authority	239	5.0	...
Gravel, Concrete, and Emulsion Production Corporation	174	1.9	...
Marketing and National Importing Board	89	13.7	...
National Insurance Scheme	74	0	697

Source: Ministry of Finance and SOEs annual reports.

¹ The other 24 SOEs are: Call Centres Grenada Inc, Child Welfare Authority, Financial complex Limited, Grenada Airports Authority, Grenada Authority for the Regulation of Financial Institutions, Grenada Board of Tourism, Grenada Broadcasting Corporation, Grenada Bureau of Standards, Grenada Cocoa Association, Grenada Cooperative Nutmeg Association, Grenada Cultural Foundation, Grenada Development Bank, Grenada Food and Nutrition Council, Grenada Industrial Development Corporation, Grenada Micro Enterprise Project, Grenada National Lottery Authority, Grenada National Stadium Authority, Grenada Postal Corporation, Grenada Solid Waste Management Authority, Minor Spices Cooperative, National Housing Authority, National Telecommunications Regulatory Commission, PetroCaribe, and T.A. Marryshow Community College.

of energy, such as wind energy and geothermal development. To address the skills mismatch problem in the labor market, the Ministry of Education is introducing vocational training at domestic universities. For the development of SMEs, the authorities are making efforts to enhance institutional support in terms of information exchange, entrepreneurship and business training, and dissemination of technology. Moreover, Grenada Development Bank has been tasked to provide project finance to small industries on the same conditions as large borrowers, provided their business plans meet feasibility tests.

19. Authorities also agreed on the need to reorient the budget to focus on spending for infrastructure and other development priorities. The authorities are keen on not increasing wages given the already high wage bill. They also plan to undertake civil service reforms to improve efficiency and rationalize spending on personnel over the medium term (see below). While cash flow remains a major constraint in the short term, the authorities plan to focus efforts on revenue enhancements, streamlining spending, and seeking public-private partnerships to create fiscal space and improve growth prospects. The authorities also expressed a keen desire to receive TA from the Fund to improve the monitoring and management of SOEs.

B. Fiscal and Debt Challenges

Near-Term: 2012

20. The authorities' 2012 budget projects a continuation of expansionary fiscal policy with a view to supporting the fragile recovery, but the bulk of financing is yet to be identified. The primary deficit excluding grants is budgeted to increase further from 5.5 percent of GDP last year to 6.9 percent of GDP this year. Most tax exemptions have been extended and capital expenditures are projected to increase by 44 percent compared to 2011. Debt service is expected to jump one percentage point of GDP given the stepwise increase in coupon payments on commercial debt.¹⁴ The authorities have to date resisted demands for wage increases, ramped up efforts to reduce spending on goods and services and Ministers have agreed to a 5 percent cut to their salaries.

Grenada: Central Government Finances, 2010–12
(In percent of GDP, unless otherwise indicated)

	Actual 2010	Review 2011	Budget 2011	Est. 2012	Budget 2012	Proj. 2012
Total revenue and grants	24.2	23.4	22.6	22.3	22.7	21.5
of which:						
Tax revenue	19.1	19.2	19.3	18.1	18.6	17.6
Grants	4.0	2.9	2.1	3.2	2.9	2.9
Total expenditure	27.3	24.1	29.3	27.0	29.9	24.9
of which:						
Salaries and allowances	9.2	8.7	10.8	10.4	10.3	10.3
Capital expenditure	7.2	6.1	9.2	7.4	10.1	4.7
Primary balance (excluding grants)	-4.9	-1.3	-6.4	-5.5	-6.9	-3.1
Primary balance (including grants)	-1.0	1.7	-4.2	-2.3	-4.0	-0.2
Overall balance (excluding grants)	-7.1	-3.6	-8.8	-7.8	-10.1	-6.3
Overall balance (including grants)	-3.1	-0.7	-6.7	-4.7	-7.2	-3.5
Statistical discrepancy / gap 1/	-0.5	0.0	3.9	-0.3	6.7	0.0
Fiscal impulse 2/	1.8			-0.4		0.4
Total public sector debt	102.4			103.3		102.6
Memorandum items:						
Nominal GDP (millions EC\$)	2,116	2,219	2,219	2,219	2,321	2,321

Sources: Ministry of Finance; and Fund staff estimates and projections.
1/ For 2011 and 2012, the figure represents the financing gap in the budget.
2/ First difference in the structural primary balance. A deterioration in the primary structural balance implies a positive fiscal impulse and vice versa.

¹⁴ The commercial bond, which resulted from the 2005 debt restructuring, constitutes $\frac{1}{3}$ of public debt. The coupon interest rate on the bonds was 2.5 percent through 2011; it will increase to 4.5 percent during 2012–13, and rise further to 6 percent (2014–15), 8 percent (2016–17), 8.5 percent (2018), and 9 percent (2019–25).

21. The 2012 fiscal outcome will be determined by the authorities' ability to mobilize financing, given that no major policy changes are planned. Staff expects that

financing constraints will result in deferment of some capital projects and hence a smaller-than-planned deficit. Staff projections assume that: (i) revenues will be lower compared to the budget projections reflecting the likely impact of exemptions, (ii) external disbursements will be lower than those in the budget but in line with last year's outcome, and (iii) capital spending will be capped at about 5 percent of GDP based on the capital grants and external loans linked to public investment projects. This implies that the authorities would still need to raise EC\$107.1 million (about 4 percent of GDP) during the remainder of 2012.

22. Staff advised the authorities to limit the fiscal deficit and to have an immediate contingent plan in case financing is not available.

Staff pointed out the significant risks to obtaining financing, for instance through issuance of additional T-bills (assuming parliament approves this) given the considerable amount of T-bills already outstanding.¹⁵ In addition, the scope for financing from banks and other domestic entities is limited because these institutions have reached their preferred limits on government exposure and discussions with bilateral creditors for loans may become too protracted to aid this year's budget implementation. Given the financial difficulties, staff urged the authorities to (i) let the manufacturer's rebate expire by September this year, (ii) limit ad hoc tax exemptions, (iii) contain the wage bill, (iv) enhance efforts to streamline spending on goods and services, and (iv) protect priority capital expenditures, including co-financing for donor financed projects. Staff emphasized that the accumulation of external arrears could have negative impact on future external inflows, while further increase in domestic arrears could affect the working capital of domestic enterprises and jeopardize growth. Therefore, staff strongly urged the authorities to remain current on both domestic and external obligations.

23. The authorities agreed with staff that financing constraints could be binding this year. However, they are hopeful that they will be able to mobilize some grants and loans from regional governments. They are also taking various steps to streamline spending, mainly on goods and

Grenada: Central Government Financing, 2010–12
(In millions of Eastern Caribbean dollars)

	2009	2010	2011	Proj. 2012
External Financing(Net)	74.3	33.4	-11.3	-19.4
Net disbursements	74.3	33.4	-12.3	-19.4
Disbursements	101.1	72.9	17.7	30.0
Amortization	-26.8	-39.5	-30.0	-49.4
Change in Government Assets	0.0	0.0	1.0	0.0
Domestic Financing(Net)	12.2	44.9	110.3	103.4
ECCB	-37.0	22.9	35.6	0.0
Temporary advances	-4.2	0.0	27.2	0.0
Government deposits	-32.8	22.9	8.3	0.0
Others	0.0	0.0	0.0	0.0
Commercial banks	12.9	-11.6	5.2	-3.7
Treasury Bills	0.0	0.0	7.8	-3.7
Loans and Advances	13.4	-21.3	-10.8	0.0
Others	-0.6	9.7	8.1	0.0
Other Domestic Financing	36.4	33.6	69.6	107.1
Treasury bills (exclude banks)	21.2	33.7	79.0	-32.9
Others	15.2	-0.1	-9.5	140.0
Divestment/Privatization proceeds	7.3	0.0	0.0	0.0
Change in arrears (increase +)	38.4	-1.6	11.7	-3.5
Domestic	38.0	-2.0	8.1	0.0
External	0.4	0.4	3.5	-3.5
Total Financing	132.2	76.6	110.7	80.4

Sources: Ministry of Finance; and Fund staff estimates and projections.

¹⁵ Outstanding T-bills are already above the parliament-approved level (40 percent of current revenue) and issuance of additional T-bills will require parliamentary approval, which may be difficult in the current political environment.

services, such as cuts in the travel budget, and have stepped up efforts to collect tax arrears, streamline ad hoc exemptions, and improve compliance. They also believe that the introduction of ASYCUDA World will help boost customs revenues. On the manufacturer's rebate, authorities are exploring options for replacing the current regime—when it expires in September—with tax-neutral incentives to encourage exports. Furthermore, the authorities concurred that to the extent that financing cannot be obtained, cuts to capital spending will become inevitable. On arrears, authorities are making efforts to minimize these and are hopeful that enhanced efforts to improve revenue performance and generate expenditure savings combined with potential new financing will help eliminate external arrears by year-end and limit domestic arrears.

24. Staff and authorities shared the view that the fiscal situation was difficult and not sustainable over the medium-term. However, given the still fragile recovery and high unemployment, the authorities were reluctant to take any austerity measures at this time. They were hopeful that the temporary extension of tax rebates and exemptions would provide support to the private sector amidst the uncertainty in the global economy. Once the recovery was on its way, they are committed to take fiscal reforms to put debt on a downward trajectory.

Medium Term

25. Staff urged the authorities to put in place a strong credible fiscal framework for the medium-term. Reducing the debt-to-GDP ratio to 60 percent by 2020, in line with the ECCU's "Eight Point Stabilization and Growth Program",¹⁶ will require average primary surpluses of 1½-2 percent of GDP over the medium-term.¹⁷ Staff pointed out that, while fiscal consolidation efforts can sometimes be usefully complemented by debt restructuring (a strategy that has been used by some countries in the region and by Grenada following Hurricane Ivan), its impact would be limited in the case of Grenada. In an illustrative scenario, and given that the share of public debt that could be restructured is about 40 percent (mainly the commercial bonds resulting from the 2005 debt restructuring), staff analysis shows that even a sizable haircut of 30–40 percent would reduce interest costs by less than 1 percent of GDP.¹⁸ Thus, staff reiterated that fiscal consolidation remains paramount and needs to be frontloaded to establish a fiscal track record and enhance confidence.¹⁹

26. Medium-term fiscal adjustment will have to rely on new revenue measures as well as capping the growth in spending. There are several measures that can be taken.

¹⁶ The Eight Point Stabilization and Growth Program has been endorsed by all the ECCU countries, See www.eccb.org.

¹⁷ A still lower debt level would be desirable in light of the country's vulnerability to exogenous shocks—both economic and natural. Given that the magnitude of the required fiscal adjustment to achieve this by 2020 may be overly ambitious, adjustment should continue beyond that and generally aim to build buffers during good times.

¹⁸ The amortization profile would be hardly affected in the near and medium term because the commercial bonds only start amortizing in 2021.

¹⁹ Staff research shows that fiscal multipliers are small in the ECCU. However, the multiplier for public investment could be as large as 0.7 (mimeo "Fiscal Multipliers in the OECS/ECCU" by J. Gonzalez-Garcia, A. Lemus, and M. Mrkaic).

- **Revenue Measures:** With a revenue-to-GDP ratio less than 19 percent, Grenada's tax intake is low compared to the region. Grenada's personal income tax threshold of EC\$60,000 is the highest in the region and three times its per capita income.²⁰ Preliminary calculations suggest that halving the threshold could yield as much as 2½–3 percent of GDP annually in additional taxes. Moreover, considerable revenue losses result from various types of exemptions, and there is significant room to broaden the tax base and improve the compliance rate, especially on the VAT.²¹ Another possible option is to raise the basic VAT rate from 15 to 17 percent, in line with some other countries in the region.

- **Expenditure Measures:** Real current spending has increased by 23 percent since 2001 and at 55 percent of revenues in 2011, the public sector wage bill has increased by 24 percent in real terms during this period. The FAD Public Expenditure Review suggested that significant savings could be obtained

		Fiscal measures and expected outcome as percent of GDP		
		2012	2013	2014
by improving the efficiency of education and health sector spending, including by introducing cost recovery for these services. Social assistance programs also suffer from inadequate monitoring and		<u>Revenue measures</u>		
	Remove exemptions	1.1	1.1	1.1
	Raise VAT to 17%	0.9	0.9	0.9
	Raise VAT to 20%	2.3	2.3	2.3
	Lower personal income tax threshold 1/	2.6	2.6	2.6
		<u>Expenditure measures</u>		
	Freeze government employment and salary at 2011 level	0.3	0.5	0.6
	Reduce government employment to 2007 level and freeze wages	0.4	0.8	1.1
	Raise student-teacher ratio to 25 from 2011 level of 16	0.3	0.5	0.6
	Freeze public service pension payments at 2011 level	0.1	0.1	0.1
Maximum fiscal adjustment		6.7	7.3	7.8
1/ It assumes that 20% tax rate for income between 30 thousand and 60 thousand, 30% tax rate for income between 60 thousand and 72 thousand, and 40% tax rate for income above 72 thousand.				

inefficiencies with no clear criteria for qualification. The current pension system is also a drag on tight public finances. Under the system, people who were employed before 1983 receive two pensions, one from the central government (unfunded, about 1 percent of GDP) and one from the National Insurance Scheme (funded by employee and employer contributions).

27. Based on the menu of options, staff recommended the authorities to undertake a combination of revenue and expenditure measures. On the revenue side, staff recommended a lowering of the personal income tax threshold, streamlining of tax exemptions (both temporary and permanent), in line with CARTAC recommendations, and introduction of a market-based property tax and possibly raising the VAT rate. On the expenditure side, staff sees a freeze in the nominal wage bill in the near term and a comprehensive civil service reform as essential, in line with

²⁰ The tax rate is 0 percent up to EC\$60,000 and 30 percent above this threshold.

²¹ The VAT was re-launched in February 2010 with three different rates. With various ad hoc exemptions granted subsequently, there are currently five different rates. This has resulted in an erosion of the tax base as well as complicated tax administration.

World Bank recommendations. Completing the reform agenda of the procurement system, including passage of the much delayed Public Procurement Act (a benchmark under the ECF-supported program) to regulate the purchase and contracting of goods and services in line with international best practices, and regionalization of services, like procurement of textbooks and fertilizers as is done with pharmaceuticals currently could also yield savings. The implementation of proxy means-testing and the single beneficiary unit to target social assistance would improve the efficiency and equity of this spending. Finally, expediting the reforms to the pension system, currently under discussion, including merging the two pension systems and raising the retirement age could generate significant savings.

28. The authorities reiterated their strong commitment to medium-term fiscal consolidation and agreed on the need to raise revenues and streamline spending. In this context, they indicated that they would like to continue to work with staff on various tax reforms, including (i) as assessment of the impact of lowering the personal income tax threshold on people at various income levels with a view to protecting the poor and vulnerable groups, (ii) introduction of tax expenditure reports in 2013 in line with CARTAC recommendations, and (iii) streamlining exemptions while providing some support to key sectors. On the expenditure front, they plan to minimize new hiring to only essential and expert staff while retraining and reallocating current civil service. They also plan to undertake more broad-based reforms of the public service with the overall objective of right sizing the public sector and rationalizing spending on personnel. These reforms will be based on recommendations of the Human Resources Audits, currently underway at a number of ministries with the assistance of the World Bank. In order to improve the social safety net, work is also underway with the World Bank to introduce a single beneficiary list with clear qualification criteria and the introduction of proxy means-testing for social assistance programs.

29. Staff consequently discussed with the authorities an illustrative active fiscal adjustment scenario that could bring the debt level down to 60 percent of GDP by 2020. This scenario assumes:

(i) expiration of all temporary tax exemptions by end-2012,
(ii) lowering of the personal income tax threshold, introduction of a market-based property tax in 2014, and continued efficiency improvements on tax collections, and
(iii) streamlining recurrent expenditures and prioritizing capital expenditures. Under these assumptions, the fiscal

Grenada: Medium-term Projections (Illustrative Active Scenario)
(percent of GDP, unless otherwise indicated)

	2011	Projections				
		2012	2013	2014	2015	2020
GDP growth (annual change)	1.1	1.5	1.5	2.0	2.0	3.5
Consumer price (period average, annual change)	3.0	3.2	2.2	2.0	2.0	2.0
Total revenue and grants	22.3	21.5	22.4	24.9	25.3	25.4
Total revenue	19.1	18.6	20.3	22.9	23.4	24.0
Grants	3.2	2.9	2.1	2.0	1.9	1.4
Total expenditure	27.0	24.9	24.2	25.1	24.3	23.3
Recurrent expenditure	19.6	20.2	19.6	19.2	18.3	15.3
Capital expenditure	7.4	4.7	4.6	5.9	6.0	7.9
Primary balance excluding grants	-5.5	-3.1	-0.6	1.3	2.3	3.3
Overall balance	-4.7	-3.4	-1.8	-0.2	1.0	2.1
Total Debt (gross)	103.3	102.6	102.9	100.3	94.0	59.1
External debt	73.4	69.7	72.1	73.8	70.3	45.0
Domestic debt	30.0	33.0	30.9	26.5	23.7	14.1
Current account balance	-68.3	-67.0	-76.6	-87.3	-73.3	-52.9
Gross international reserves (month of imports)	1.9	1.3	1.0	0.8	0.8	0.8

Sources: Ministry of Finance; and Fund staff estimates and projections.

balance could swing into primary surplus by 2014. Staff pointed out that this strong fiscal adjustment would have some adverse impact on growth in the near term, but the improvement of

fiscal discipline and sustainability would help to boost donor and private sector confidence. In addition, expediting structural reforms on improving the business climate could mitigate the negative impact by accelerating private sector led growth.

30. Given Grenada's high debt level, careful debt management, including lengthening the existing maturities to help limit rollover risks and minimizing new borrowing, is critical. The debt management strategy, put in place in spring 2011, aims at reducing debt service costs while mitigating rollover, exchange rate and interest rate risks. It also does not contemplate nonconcessional external borrowing. In line with Fund TA recommendations, the authorities have refinanced half of high cost commercial bank overdrafts with longer-term bank loans. However, issuance of T-bills, which provided about 70 percent of total financing in 2011, has largely been in the form of 3-month maturities, entailing much higher rollover risks. Also, after failed efforts to negotiate concessional terms, the authorities have recently signed a loan agreement with OPEC for a non-concessional loan of US\$10.5 million for school rehabilitation, with the aim of boosting the economy and easing unemployment. In addition, two other loans are under consideration: a direct loan or guarantee for a loan to build the Teaching Hospital and the loan from EXIM Bank of China to finance a luxury hotel (see Box 4).²²

31. Staff discussed the near-term risks from rollovers of T-bills and medium-term risks from the country's high debt level. In particular, staff highlighted that while investors continue to overbid issuance amounts on the RGSM, investor sentiment could change. Thus, gradually retiring and/or lengthening the maturity of outstanding short-term paper should be priority. While acknowledging that the Teaching Hospital and the luxury hotel could boost growth, staff emphasized the inherent risks of further debt and the impact of increasing debt service on an already overstretched budget. Staff urged the authorities to avoid nonconcessional borrowing. Furthermore, all new borrowing, including for the luxury hotel, should be rigorously assessed to ensure it takes account of the DSA and that benefits clearly exceed costs.

32. The authorities were in broad agreement with the recommendations. The debt management unit is working on a revised strategy to help limit the rollover risks through a gradual conversion of short-term paper into longer-term bonds. On the new loans, the authorities reiterated their commitment to do feasibility studies and only proceed once there were clear benefits. In this context, they were working closely with the IFC and SGU on the Teaching Hospital. On the luxury hotel, they reiterated that discussions are underway with several private sector investors. They are mindful of the risks and plan to undertake a feasibility study to clearly establish the benefits of the project by an independent third party so that it does not jeopardize their fiscal and debt sustainability objectives.

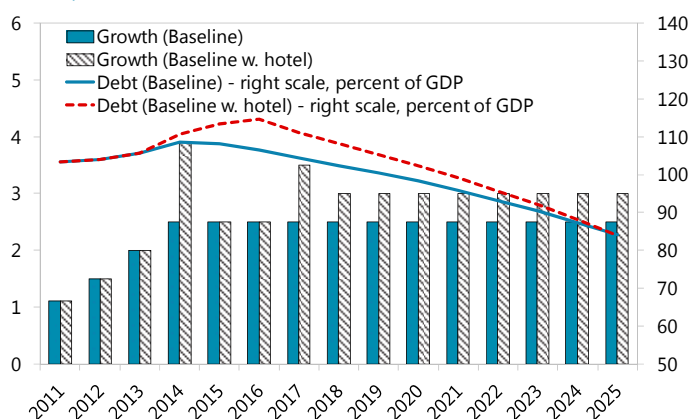
²² The latter has signaled that the loan could be approved if the government is able to identify a private sector partner willing to take on US\$40 million of the construction costs.

Box 4. Potential EXIM-China Loan for a Luxury Hotel

The authorities are discussing a loan with EXIM-China for a luxury hotel project under a public private partnership. EXIM-China informed the authorities that the US\$100 million loan (13 percent of 2011 GDP) would be approved if the authorities can find a private partner willing to invest US\$30–40 million. The authorities are actively discussing with potential private parties for this project.

The luxury hotel project could indeed have a positive growth impact. If the project goes forward, staff estimates that GDP growth could be 1.4 percentage points higher in 2014 as construction commences and another 1 percentage point higher when the hotel starts operating in 2017. After 2017, GDP growth would be 0.5 percentage points per year higher, mainly on account of positive spillover effects. If these expected growth impacts materialize, the impact on public debt could be contained. In 2016, when construction is expected to be completed, public debt would be 8 percent of GDP higher but the higher expected growth potential of this project could make it debt neutral around 2025.

Impact of the Luxury Hotel Project on Growth and Debt
(In percent)



Sources: Country authorities; and IMF staff estimations.

However, there are high risks associated with this large project. The biggest risk is that the expected growth impacts may not materialize. As the DSA illustrates, even without any additional debt, another larger shock could lead to explosive debt dynamics, if commitment to an ambitious fiscal consolidation remains absent.

Staff advised the authorities to carefully evaluate the inherent risks before moving ahead with such a large project. In particular, staff stressed the importance of ensuring that: (1) significant benefits are expected based on a thorough impact analysis of the economic and social benefits by an independent third party; (2) the loan is available on concessional terms; (3) it has greater private sector participation with shared upside risks for the government; (4) construction of the hotel would be undertaken by private sector companies with a transparent procurement process; and (5) an ambitious fiscal consolidation (with an aim of bringing the primary balance before grants close to a surplus) can be committed before the start of construction to allay refinancing risks. Staff stressed that contracting this loan would almost surely curb creditors' willingness to consider debt restructuring options in the near term, underlining the need for fiscal consolidation.

C. Financial Sector

33. Banking sector soundness indicators underscore the need for close monitoring. [A joint Financial Sector Task Force comprising the regional authorities (including the ECCB) and CDB, IMF and WB has prepared a comprehensive diagnosis of the financial sector at the regional level, which is currently under discussion. The report identifies reforms to strengthen the supervisory and regulatory framework and highlights several areas of vulnerability, including high non-performing loans, low provisioning and low profitability.] Standard stress tests [undertaken by the Task Force] suggest that a few institutions are undercapitalized and would require additional capital to reach the regulatory capital levels were tail risks to materialize.

Grenada: Financial Soundness Indicators, 2008-11				
Financial soundness Indicators	Actual			
	2008	2009	2010	2011
Total Capital/Risk Weighted Assets	15.1	15.9	16.5	15.2
Tier 1 Capital/Risk Weighted Assets	13.0	13.8	15.0	13.7
Non-Performing Loans net of Provisions/Total Capital	15.1	25.2	33.8	50.2
Non-Performing Loans/Total Loans	3.5	5.9	7.6	9.4
o/w foreign banks	3.1	5.8	6.4	8.9
Return on Avg Assets (Net Profit before Taxes/Average Assets)	1.9	1.3	1.2	0.2
Liquid Assets/Total Assets	24.1	21.7	20.7	22.6
Net Foreign Currency Exposure/Total Capital	47.1	37.8	34.7	24.6

Source: Ministry of Finance; ECCB and Fund staff estimates.

34. With respect to the non-banking financial sector (NBFIs) supervision, GARFIN is continuing to make significant progress. GARFIN continues to conduct regular on-site and off-site inspections of the insurance companies as well as credit unions. Most credit unions have written off their exposure to BAICO/CLICO. In line with the Insurance Act passed in 2010, insurance companies have established Statutory Funds to back their liabilities. The Building and Loan Association (B&LA), which was exposed to investments in BAICO and CLICO, is currently under judicial management and bidders are being sought for a merger or a takeover. GARFIN has also taken over the supervision of private pension funds and is making progress to complete the registration process. The offshore sector is very small and comprises mainly of International Business Companies, which do not engage in financial transactions.

35. Staff urged the authorities to monitor financial sector vulnerabilities closely, reinforcing cooperation at the regional level. Staff encouraged the authorities to play a proactive role in seeking and implementing the recommendations [of the Task Force] at the regional level. In addition, staff shared illustrative stress test scenarios based on some institutions Annual Reports [which show similar results to those obtained by the Task Force] and encouraged those institutions to undertake this exercise on a regular basis. On NBFIs, staff urged GARFIN to be more proactive in ensuring that the institutions meet all prudential requirements and to follow closely the developments at the weak institutions.

36. The authorities' agreed with staff on the need to be more proactive in order to safeguard financial stability. They indicated that [in accordance with the Financial Sector Task Force] the ECCB has been working on new regulations for loan loss provisioning and capital adequacy with a view to submitting them to the Monetary Council for approval. They also

emphasized that a comprehensive regional approach is needed to address the problems in the financial system. On their part, banks and credit unions agreed to monitor NPLs closely in order to protect their capital positions and are taking steps to bolster provisioning for loan losses and their credit risk departments to increase the scrutiny of their loan portfolios to minimize future risks.

37. The authorities highlighted that Grenada has made progress to address the deficiencies with regard to AML/CFT compliance.²³ Three progress reports have been prepared since 2009. The authorities have taken measures to improve compliance by instituting changes in the legal framework, including consolidation of previous statutes, legislative amendments to specific laws, and proposals for new legislation. As a result of this process, the Money Services Business Act was enacted in April 2009, followed by the Insurance Act in December 2009. Additionally, a Customs Bill, Customs regulations, Proceeds of Crime (POCA) regulations and guidelines and a Financial Intelligence Unit (FIU) Bill have been prepared and the authorities are encouraged to present it to Parliament shortly.

STAFF APPRAISAL

38. A fragile recovery appears to be underway, but there are significant downside risks. The current growth momentum could be derailed by a slower-than expected recovery in tourism, a continued increase in food and fuel prices, financial sector vulnerabilities, and budget financing constraints, including risks of rollover of significant outstanding short-term liabilities.

39. Staff urges the authorities to implement strong fiscal consolidation measures to ensure sustainability of public finances and protect priority capital spending in 2012 and beyond. Revenue shortfalls, increases in current spending, especially the wage bill, combined with domestic borrowing constraints are putting severe pressure on government cash flow. As a result, domestic unpaid claims have risen and the authorities have accumulated external arrears. Staff emphasized the urgency of addressing these imbalances to maintain confidence in government policies. Toward this end, staff urged the authorities to redouble efforts to increase tax compliance, collect tax arrears, and reduce exemptions, including the temporary exemptions. Current spending, with the exception of social assistance to the poor and vulnerable groups, also needs to be streamlined to help reduce unpaid claims and safeguard co-financing for donor-funded public sector capital projects.

40. Effective debt management could also generate savings and reduce rollover risks. A debt management strategy focused on issuing longer-maturity debt, reducing the use of short-term government paper and high cost commercial bank overdrafts, and eliminating arrears could help to reduce both rollover risks and debt service payments and generate private sector confidence.

²³ In 2009, the Caribbean Financial Action Task Force (CFATF) completed its mutual evaluation report on AML/CFT compliance for Grenada. Grenada scored non compliant (NC) or partially compliant (PC) for 10 out of the 16 core/key recommendations. Grenada was placed on enhanced follow-up and is required to report in every plenary meeting.

41. Over the medium-term, primary surpluses in the range of 1½–2 percent of GDP are needed to ensure fiscal and debt sustainability and build buffers for future shocks. Toward this end, staff encouraged the authorities to take some bold structural measures, both on the revenue and the expenditure sides. On the revenue side staff recommends the authorities to lower the threshold for income taxes, expedite introduction of the market based property tax, establish the large taxpayer unit, and significantly reduce tax exemptions. On the expenditure side considerable savings can be obtained by gradually lowering the wage bill to pre-crisis levels, undertaking civil sector and pension reforms, more effective monitoring and management of state-owned enterprises, and rationalization of social assistance programs. Staff stands ready to re-engage on program discussions whenever the authorities are ready to commit to policies for restoring financial sustainability.

42. While acknowledging the need to undertake growth-enhancing investment, staff reiterated the need to follow a very cautionary approach to borrow for large capital projects, including the possible loan from EXIM-China for the luxury hotel. In line with past recommendations, staff pointed out the risks of taking on such a large project, especially in a sector that is best suited for private investment. At the same time, staff emphasized that while the public-private partnership with St George's University and the IFC on the Teaching Hospital seems a more promising venture, it would be advisable for the government to limit its contribution principally to providing land, given the already high public debt level.

43. While fiscal consolidation may have some negative impact on near-term growth, this impact could be contained by expediting action on structural measures to stimulate private sector growth. In particular, labor and product market reforms aimed at improving competitiveness, building synergies between the tourism and agriculture sectors, reforms allowing greater use of alternative energy sources, and developing the small and medium enterprise sector could offset the near-term impact on growth from fiscal consolidation while laying a foundation for sustained growth over the medium-term. Moreover, these structural reforms could also help to offset the impact of potential overvaluation of the exchange rate, as suggested by staff's analysis.

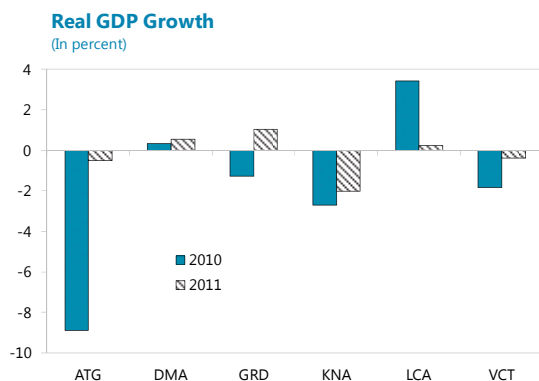
44. Staff urged the authorities to monitor the financial system more closely. The recent increase in NPLs and decline in profitability indicators does not bode well for the financial sector, especially given that economic growth is expected to remain sluggish in the near term and further increases in NPLs cannot be ruled out. Staff also encouraged the authorities to play a proactive role in seeking and implementing the recommendations at regional level.

45. Staff welcomed the progress in enhancing supervision of the non-bank financial sector. GARFIN has continued to make commendable progress and completed the on-site inspection of most insurance companies, especially those that are systemically important. It is also taking appropriate steps toward enhanced supervision of credit unions and private pension funds.

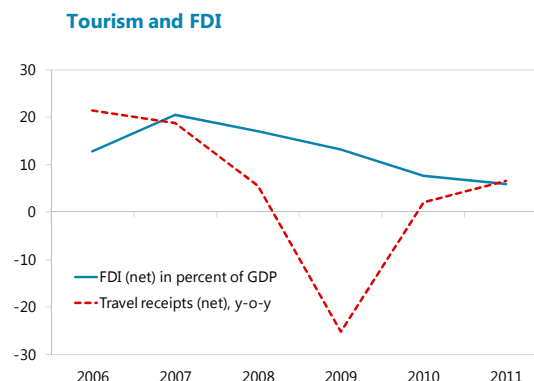
46. Staff recommends that the next Article IV consultation be held on the standard 12-month cycle.

Figure 1. Grenada: Growth and Inflation

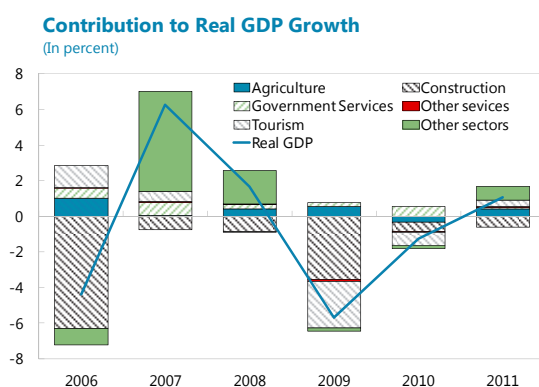
Following two years of contraction, growth was positive last year...



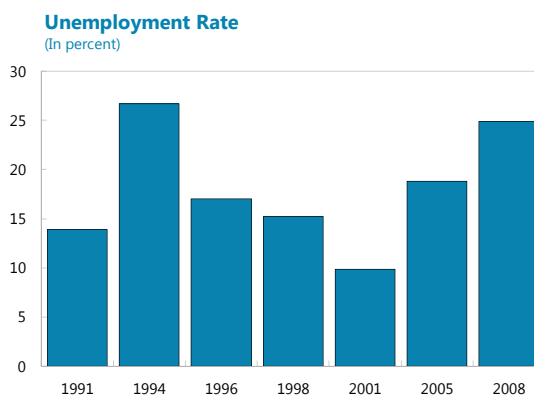
...reflecting a modest recovery in the tourism sector...



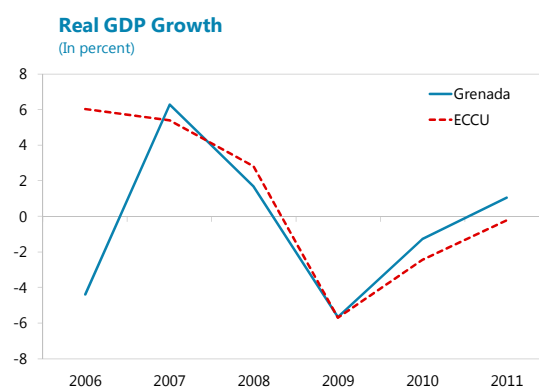
... and robust growth in agriculture.



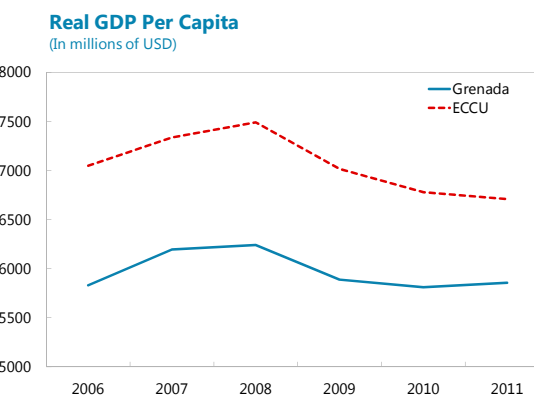
However, unemployment remains high.



Although growth is higher than the ECCU average...



...per capita income remains below the ECCU average.

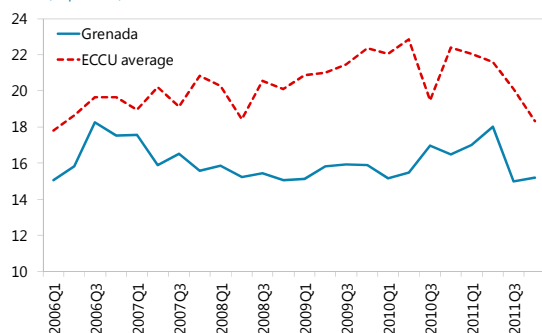


Sources: Grenada authorities; ECCB; IMF, International Financial Statistics; IMF, World Economic Outlook; and IMF staff calculations.

Figure 2. Grenada: Banking System Vulnerabilities

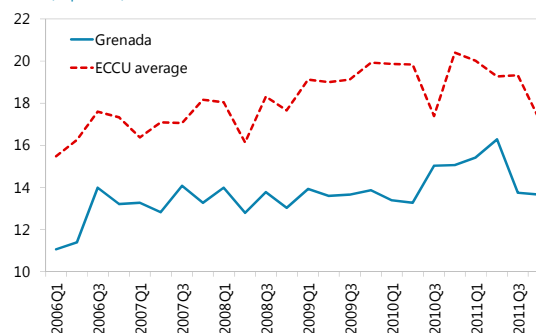
CARs have remained higher than the prudential level but below the ECCU average...

Capital Adequacy Ratio
(In percent)



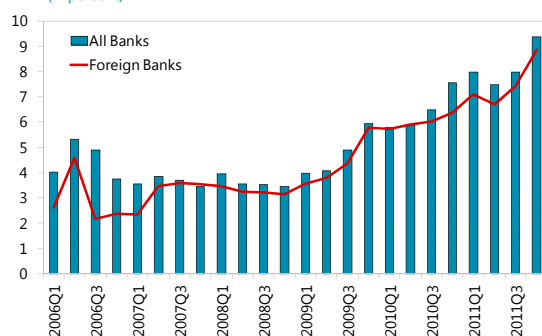
...as, too, has Tier 1 capital.

Tier 1 Capital / Risk Weighted Assets
(In percent)



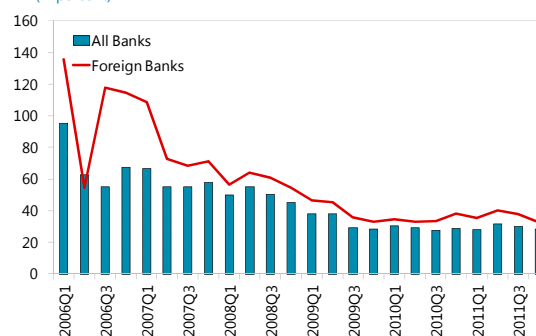
NPLs have risen...

Non-Performing Loans to Total Loans
(In percent)



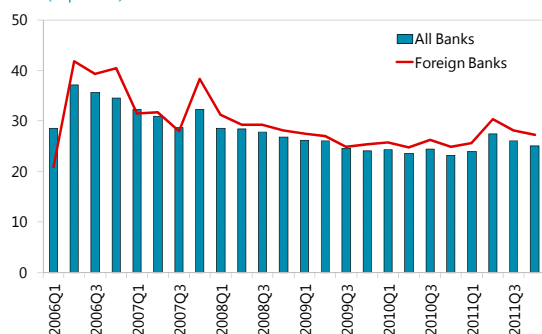
...but provisions remain insufficient.

Provisions for Loan Losses to Non-Performing Loans
(In percent)



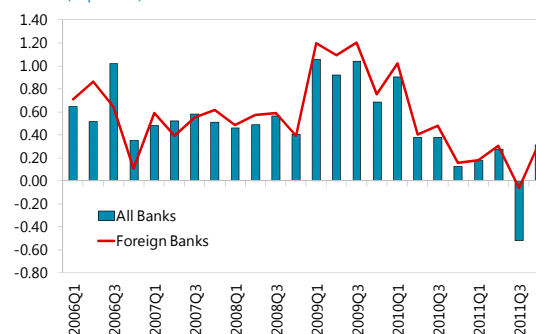
Liquidity has declined slightly...

Liquid Assets to Current Liabilities
(In percent)



...and bank profitability remains low.

Return on Assets
(In percent)

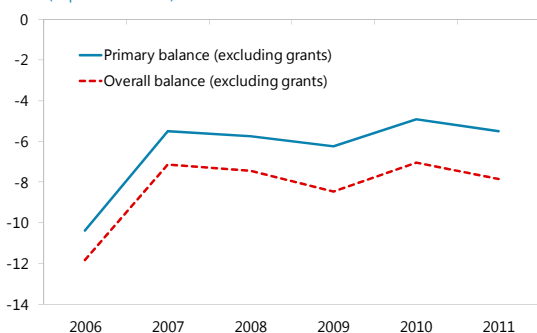


Sources: ECCB; and IMF staff calculations.

Figure 3. Grenada: Fiscal Sector Indicators

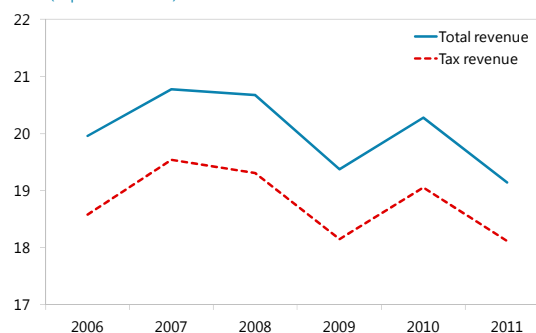
The primary balance was deteriorated again...

Central Government Balance
(In percent of GDP)



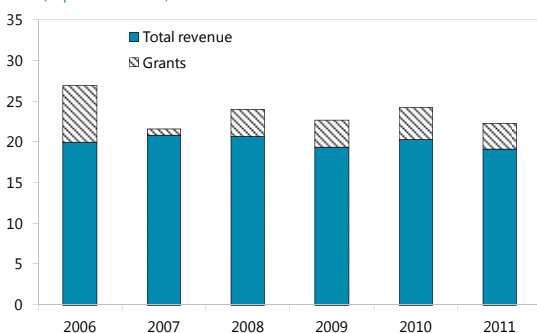
...reflecting revenue shortfalls...

Total Revenue
(In percent of GDP)



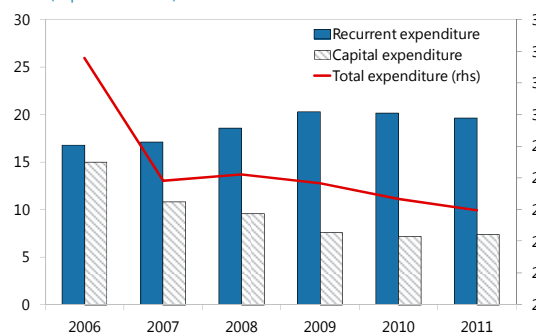
...and lower grants.

Total Revenue and Grants
(In percent of GDP)



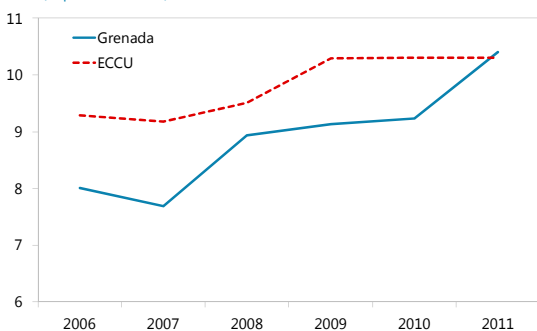
Expenditures have decreased mainly through reducing in capital expenditures...

Total Expenditure
(In percent of GDP)



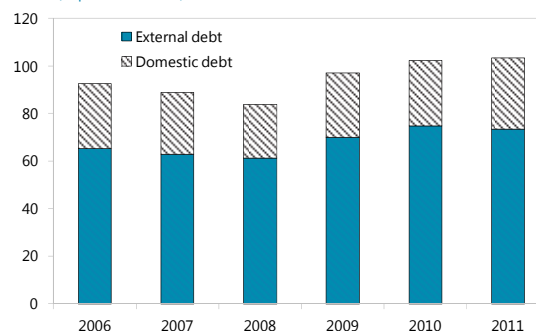
...while wage bill has increased by 30 percent since 2006.

Wages and Allowances of the Central Government
(In percent of GDP)



Debt has increased further.

Public Sector Debt
(In percent of GDP)



Sources: Grenada authorities; ECCU country authorities; and IMF staff estimates.

Figure 4. Grenada: External Sector Indicators

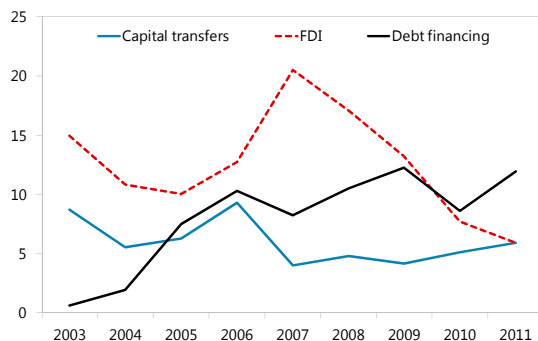
The long-standing terms of trade shock ...

External Trade Deflators and Terms of Trade
(Index, 1999=100)



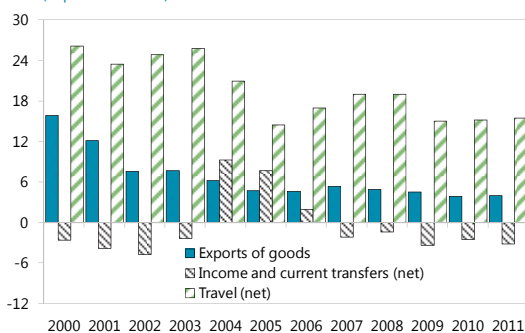
With FDI decreasing, the deficit has become mostly debt financed. Despite lower FDI-related imports, ...

Financial Account Components
(In percent of GDP)



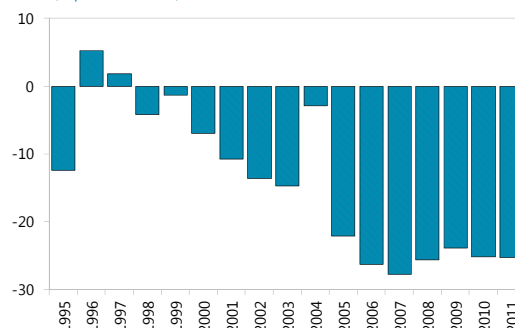
Meanwhile exports, mainly driven by tourism, have only bottomed out recently and remain much below past levels.

Exports, income and current transfers
(In percent of GDP)



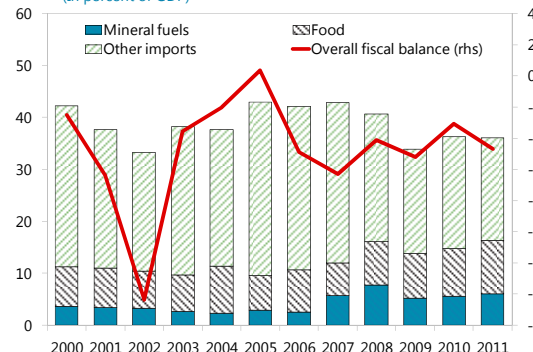
... has led to permanent widening current account deficit in the 2000s.

Current Account
(In percent of GDP)



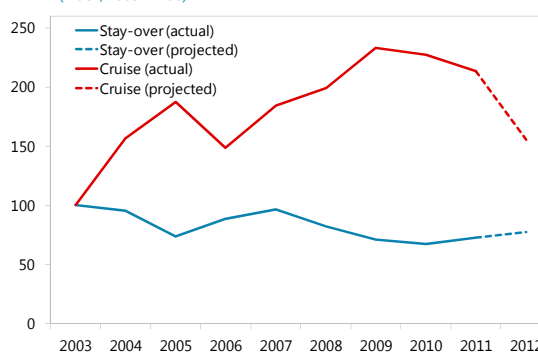
... the import bill remains high, because of higher food and fuel prices and absence of fiscal consolidation.

Imports and Overall Fiscal Balance
(In percent of GDP)



Stay-over arrivals are edging up amid discounting, but cruise operator's shorter itineraries have an adverse effect.

Tourism Arrivals
(Index, 2003 = 100)



Sources: Grenada authorities; ECCB; Caribbean Tourist Organization; and IMF staff calculations.

Table 1. Grenada: Selected Economic and Financial Indicators, 2009–12

Rank in UNDP Human Development Index out of 179 countries (2008)	86	Infant mortality rate per '000 births (2006)	16
Life expectancy at birth in years (2006)	68	Adult illiteracy rate in percent (2004)	4
GDP per capita in US\$ (2010)	7,558	Poverty headcount index (2008)	38
		Population in millions (2011)	0.104

	Actual	Prog.	Est	Mar-11		
	2009	2010	2010	Mission 1/ 2011	Est	Proj.
						2012
(Annual percentage change; unless otherwise specified)						
National income and prices						
Real GDP	-5.7	0.8	-1.3	1.0	1.1	1.5
GDP deflator	-0.2	3.2	1.1	6.8	4.5	3.0
Consumer prices						
End-of-year	-2.3	4.7	4.2	5.0	3.5	2.4
Period average	-0.3	3.6	3.4	5.8	3.0	3.2
External sector						
Exports of goods (value)	-12.8	6.1	-14.3	13.1	8.6	25.1
Imports of goods (value)	-22.4	4.2	8.2	11.9	4.2	2.3
Exports of goods (volume)	-9.8	-3.0	-37.8	9.6	-3.5	39.1
Imports of goods (volume)	-10.9	-2.8	-0.9	-1.8	1.1	2.1
Current account balance (including grants; in percent of GDP)	-23.9	-25.0	-25.2	-26.8	-25.3	-24.4
FDI (net, in percent of GDP)	13.2	11.5	7.7	12.5	5.9	5.9
Real effective exchange rate (end of period, depreciation -)	-8.8	...	3.1	...	0.9	...
Banking system						
Net foreign assets 2/	1.8	-1.9	-2.1	0.1	-4.0	-2.7
Net domestic assets 2/	1.5	6.7	2.6	7.2	5.4	7.2
Of which						
Credit to public sector (net) 2/	-1.8	1.2	-2.0	-1	2.7	0.1
Credit to private sector 2/	4.1	5.5	5.2	7.6	2.1	2.2
Money and quasi-money (M2)	3.3	4.8	0.4	5.6	1.4	4.5
Weighted average deposit rate (in percent)	3.0	3.0	2.6	2.6	2.9	2.9
Weighted average lending rate (in percent)	10.7	10.7	9.5	9.5	10.3	10.3
(In percent of GDP)						
Central government finances 3/						
Total revenue and grants	22.6	23.7	24.2	23.2	22.3	21.5
Total Revenues	19.4	19.8	20.3	20.9	19.1	18.6
Grants	3.3	4.0	4.0	2.3	3.2	2.9
Total expenditure	27.8	25.1	27.3	25.4	27.0	24.9
Current expenditure	20.3	19.1	20.2	19.2	19.6	20.2
Of which						
Salaries and allowances	9.1	9.2	9.2	10.1	10.4	10.3
Capital expenditure	7.5	6.1	7.2	6.2	7.4	4.7
Primary balance (excluding grants)	-6.2	-3.1	-4.9	-2.0	-5.5	-3.1
Primary balance (including grants)	-3.0	0.9	-1.0	0.3	-2.3	-0.2
Current balance	-0.9	0.7	0.1	1.7	-0.5	-1.6
Overall balance (including grants)	-5.2	-1.4	-3.1	-2.2	-4.7	-3.5
Public and publicly guaranteed debt (end-period) 4/	97.1	119.1	102.4	100.4	103.3	102.6
(In millions of U.S. dollars)						
Nominal GDP	775.5	783.6	783.6	821.7	821.7	859.5

Sources: Ministry of Finance; Eastern Caribbean Central Bank; United Nations, Human Development Report 2008; World Bank WDI 2007; and Fund staff estimates and projections.

1/ The inflation projections are based on old CPI at the time of March mission.

2/ As a percent of broad money at the beginning of the year.

3/ Measured using above-the-line information; assumes a passive scenario for 2012.

4/ 2010 program number was based on the old GDP series.

Table 2. Grenada: Summary of Central Government Operations and Stock Position, 2009–17

(in millions of Eastern Caribbean dollars)

	2009	2010	2011	Projection					
				2012	2013	2014	2015	2016	2017
I. Statement of Government Operations									
Revenue	473.8	512.6	494.9	498.1	502.0	524.3	547.7	572.4	598.3
Taxes	379.9	403.1	401.8	407.9	427.2	448.2	470.3	493.7	518.2
Taxes on income, profits, and capital gains	87.2	78.5	72.9	74.1	77.6	81.4	85.4	89.6	94.1
Taxes on property	18.8	16.8	14.5	14.8	15.5	16.2	17.0	17.9	18.8
Taxes on goods & services 1/	71.7	183.2	192.9	196.0	205.2	215.3	226.0	237.2	248.9
Taxes on international trade & transactions 1/	197.9	121.1	117.6	119.2	124.9	131.0	137.5	144.3	151.5
Other taxes	4.3	3.5	3.8	3.9	4.1	4.3	4.5	4.7	4.9
Grants 2/	68.3	83.9	70.4	66.5	50.0	50.0	50.0	50.0	50.0
Other revenue	25.6	25.6	22.7	23.7	24.8	26.1	27.4	28.7	30.1
Total Expenditures	582.6	577.9	598.5	578.5	628.9	703.0	702.0	695.3	718.5
Expense	424.9	426.8	435.3	468.6	483.8	508.0	524.4	554.9	571.1
Compensation of employees 3/	191.2	195.3	230.9	239.9	245.9	250.8	255.8	260.9	266.2
Use of goods and services	86.0	109.2	79.2	79.2	81.2	82.8	84.5	86.1	87.9
Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest 4/	46.3	45.0	52.1	74.8	80.4	96.6	104.7	126.9	134.5
Domestic	15.1	13.3	22.6	31.4	36.8	43.8	49.5	60.0	67.6
Foreign	31.2	31.7	29.5	43.4	43.7	52.8	55.2	66.8	66.9
Subsidies	78.1	52.8	47.8	48.6	49.6	50.6	51.6	52.7	53.7
Grants	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Social benefits	23.3	24.6	25.3	26.1	26.7	27.2	27.8	28.3	28.9
Other expense	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Acquisition of Nonfinancial Assets	157.7	151.1	163.1	110.0	145.1	195.0	177.6	140.4	147.3
Capital formation	157.8	151.3	163.2	110.0	145.1	195.0	177.7	140.4	147.4
Capital revenue	-0.1	-0.2	-0.1	0.0	0.0	0.0	0.0	-0.1	-0.1
Gross operating balance	48.9	85.8	59.6	29.6	18.2	16.3	23.3	17.5	27.2
Net Lending/Borrowing (overall balance)	-108.8	-65.3	-103.6	-80.4	-126.9	-178.7	-154.3	-122.9	-120.2
Net Financial Transactions	-132.2	-76.6	-110.7	-80.4	-126.9	-178.7	-154.3	-122.9	-120.1
Net acquisition of financial assets	19.7	-26.0	-12.5	0.0	0.0	0.0	0.0	0.0	0.0
Currency and deposits	27.0	-26.0	-11.5	0.0	0.0	0.0	0.0	0.0	0.0
Shares and other equity	-7.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other accounts receivable	0.0	0.0	-1.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrence of liabilities	151.9	50.6	98.2	80.4	126.9	178.7	154.3	122.9	120.1
Domestic	77.2	16.9	106.9	103.4	65.4	79.2	96.3	117.0	120.4
Debt securities	14.7	40.2	96.4	-36.6	8.2	8.9	9.4	9.9	10.4
Loans	24.5	-21.3	2.4	140.0	57.2	70.3	87.0	107.1	110.0
Other accounts payable (arrears)	38.0	-2.0	8.1	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	74.7	33.7	-8.7	-23.0	61.5	99.5	57.9	6.0	-0.3
Loans	74.3	33.4	-12.3	-19.4	61.5	99.5	57.9	6.0	-0.3
Other accounts payable (arrears)	0.4	0.4	3.5	-3.5	0.0	0.0	0.0	0.0	0.0
Statistical discrepancy/Financial gaps	23.4	11.3	7.1	0.0	0.0	0.0	0.0	0.0	0.0
II. Stock Positions									
Gross debt	1,786	1,841	1,942	2,026	2,153	2,332	2,486	2,609	2,729
Memorandum items:									
Primary Balance before grants	-130.8	-104.2	-121.9	-72.1	-96.4	-132.1	-99.6	-46.1	-35.7
Primary Balance after grants	-62.5	-20.3	-51.5	-5.6	-46.4	-82.1	-49.6	3.9	14.3
Nominal GDP	2,094	2,116	2,219	2,321	2,430	2,550	2,676	2,809	2,948

Sources: Ministry of Finance; and Fund staff estimates and projections.

1/ The VAT introduced on February 1, 2010 is classified exclusively under taxes on goods and services, unlike the Generalized

Consumption Tax it replaces. Licenses are also included under goods and services.

2/ Includes the transfer to the budget of PetroCaribe financing beyond that needed to repay related debt.

3/ From 2011 onwards payments to contractual employees have been reclassified from Goods

and Services to Salaries and Allowances. For 2011, payments for contractual employees are projected to be EC\$24.7 million.

4/ Includes interest arrears to nonparticipating creditors in the debt exchange based on the post-exchange interest rate.

Table 2a. Summary of Central Government Operations and Stock Position, 2009–17

(in percent of GDP)

	2009	2010	2011	Projection					
				2012	2013	2014	2015	2016	2017
I. Statement of Government Operations									
Revenue	22.6	24.2	22.3	21.5	20.7	20.6	20.5	20.4	20.3
Taxes	18.1	19.1	18.1	17.6	17.6	17.6	17.6	17.6	17.6
Taxes on income, profits, and capital gains	4.2	3.7	3.3	3.2	3.2	3.2	3.2	3.2	3.2
Taxes on property	0.9	0.8	0.7	0.6	0.6	0.6	0.6	0.6	0.6
Taxes on goods & services 1/	3.4	8.7	8.7	8.4	8.4	8.4	8.4	8.4	8.4
Taxes on international trade & transactions 1/	9.5	5.7	5.3	5.1	5.1	5.1	5.1	5.1	5.1
Other taxes	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Grants 2/	3.3	4.0	3.2	2.9	2.1	2.0	1.9	1.8	1.7
Other revenue	1.2	1.2	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Total Expenditures	27.8	27.3	27.0	24.9	25.9	27.6	26.2	24.8	24.4
Expense	20.3	20.2	19.6	20.2	19.9	19.9	19.6	19.8	19.4
Compensation of employees 3/	9.1	9.2	10.4	10.3	10.1	9.8	9.6	9.3	9.0
Use of goods and services	4.1	5.2	3.6	3.4	3.3	3.2	3.2	3.1	3.0
Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest 4/	2.2	2.1	2.3	3.2	3.3	3.8	3.9	4.5	4.6
Domestic	0.7	0.6	1.0	1.4	1.5	1.7	1.8	2.1	2.3
Foreign	1.5	1.5	1.3	1.9	1.8	2.1	2.1	2.4	2.3
Subsidies	3.7	2.5	2.2	2.1	2.0	2.0	1.9	1.9	1.8
Grants	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Social benefits	1.1	1.2	1.1	1.1	1.1	1.1	1.0	1.0	1.0
Other expense	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Acquisition of Nonfinancial Assets	7.5	7.1	7.4	4.7	6.0	7.6	6.6	5.0	5.0
Capital formation	7.5	7.2	7.4	4.7	6.0	7.6	6.6	5.0	5.0
Capital revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Gross operating balance	2.3	4.1	2.7	1.3	0.8	0.6	0.9	0.6	0.9
Net Lending/Borrowing (overall balance)	-5.2	-3.1	-4.7	-3.5	-5.2	-7.0	-5.8	-4.4	-4.1
Net Financial Transactions	-6.3	-3.6	-5.0	-3.5	-5.2	-7.0	-5.8	-4.4	-4.1
Net acquisition of financial assets	0.9	-1.2	-0.6	0.0	0.0	0.0	0.0	0.0	0.0
Currency and deposits	1.3	-1.2	-0.5	0.0	0.0	0.0	0.0	0.0	0.0
Shares and other equity	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other accounts receivable	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrence of liabilities	7.3	2.4	4.4	3.5	5.2	7.0	5.8	4.4	4.1
Domestic	3.7	0.8	4.8	4.5	2.7	3.1	3.6	4.2	4.1
Debt securities	0.7	1.9	4.3	-1.6	0.3	0.3	0.3	0.4	0.4
Loans	1.2	-1.0	0.1	6.0	2.4	2.8	3.3	3.8	3.7
Other accounts payable (arrears)	1.8	-0.1	0.4	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	3.6	1.6	-0.4	-1.0	2.5	3.9	2.2	0.2	0.0
Loans	3.5	1.6	-0.6	-0.8	2.5	3.9	2.2	0.2	0.0
Other accounts payable (arrears)	0.0	0.0	0.2	-0.2	0.0	0.0	0.0	0.0	0.0
Statistical discrepancy/Financial gaps	1.1	0.5	0.3	0.0	0.0	0.0	0.0	0.0	0.0
II. Stock Positions									
Gross debt	85	87	88	87	89	91	93	93	93
Memorandum items:									
Primary Balance before grants	-6.2	-4.9	-5.5	-3.1	-4.0	-5.2	-3.7	-1.6	-1.2
Primary Balance after grants	-3.0	-1.0	-2.3	-0.2	-1.9	-3.2	-1.9	0.1	0.5
Nominal GDP	2,094	2,116	2,219	2,321	2,430	2,550	2,676	2,809	2,948

Sources: Ministry of Finance; and Fund staff estimates and projections.

1/ The VAT introduced on February 1, 2010 is classified exclusively under taxes on goods and services, unlike the Generalized Consumption Tax it replaces. Licenses are also included under goods and services.

2/ Includes the transfer to the budget of PetroCaribe financing beyond that needed to repay related debt.

3/ From 2011 onwards payments to contractual employees have been reclassified from Goods and Services to Salaries and Allowances. For 2011, payments for contractual employees are projected to be EC\$24.7 million.

4/ Includes interest arrears to nonparticipating creditors in the debt exchange based on the post-exchange interest rate.

Table 3. Grenada: Summary Accounts of the Banking System, 2008–12

	2008	2009	2010	2011	Projection 2012
(In millions of EC dollars; end of period)					
Net foreign assets	248.8	281.0	242.3	169.6	120.5
ECCB	281.0	303.4	277.5	282.9	242.0
<i>Of which:</i> Imputed reserves 1/	281.0	345.9	320.0	325.4	284.5
Commercial banks	-32.2	-22.4	-35.2	-113.3	-121.5
Net domestic assets	1,504.9	1,531.1	1,577.3	1,675.9	1,808.0
Public sector credit (net)	4.4	-27.1	-63.1	-13.3	-10.6
Central government	122.9	98.7	110.0	150.7	147.1
ECCB	6.4	-30.6	-7.7	27.8	27.8
Commercial banks	116.4	129.3	117.7	122.9	119.2
Net credit to rest of public sector	-118.5	-125.8	-173.1	-164.0	-157.6
National Insurance Scheme	-135.1	-152.4	-165.4	-164.3	-172.9
Other	16.6	26.6	-7.8	0.3	15.3
Credit to private sector	1,596.7	1,668.8	1,762.2	1,800.3	1,841.8
Other items (net)	-96.2	-110.6	-121.7	-111.1	-23.2
Broad money	1,753.7	1,812.1	1,819.6	1,845.5	1,928.5
Money	355.5	324.3	324.5	320.6	328.0
Currency in circulation	103.4	106.7	98.8	108.7	111.2
Demand deposits	252.1	217.7	225.7	211.9	216.8
Quasi-money	1,398.1	1,487.8	1,495.1	1,524.9	1,600.5
Time deposits	291.6	339.2	371.2	382.0	382.8
Savings deposits	980.6	1,014.4	1,011.6	1,023.0	1,025.2
Foreign currency deposits	125.9	134.2	112.3	120.0	192.5
(Annual percentage change)					
Net foreign assets	-38.7	12.9	-13.8	-30.0	-29.0
Net domestic assets	17.6	1.7	3.0	6.3	7.9
Credit to private sector	12.0	4.5	5.6	2.2	2.3
Broad money	4.1	3.3	0.4	1.4	4.5
Money	-5.5	-8.8	0.1	-1.2	2.3
Quasi-money	6.8	6.4	0.5	2.0	5.0
(Percent contribution compared to M2 at the beginning of the year)					
Net foreign assets	-9.3	1.8	-2.1	-4.0	-2.7
Net domestic assets	13.4	1.5	2.6	5.4	7.2
Public sector credit (net)	1.0	-1.8	-2.0	2.7	0.1
<i>Of which:</i> Central government	1.1	-1.4	0.6	2.2	-0.2
Credit to private sector	10.2	4.1	5.2	2.1	2.2
Other items (net)	2.2	-0.8	-0.6	0.6	4.8
Memorandum item:					
Income velocity 2/	1.4	1.3	1.2	1.2	1.3

Sources: Eastern Caribbean Central Bank; Ministry of Finance; and Fund staff estimates.

1/ Incorporates SDR allocation of SDR 10.2 million.

2/ Nominal GDP at market prices divided by liabilities to the private sector.

Table 4. Grenada: Summary Balance of Payments, 2008–17

	Actual	Actual	Est.		Projections					
	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017
(In millions of U.S. dollars)										
Current account	-213.6	-185.3	-197.2	-207.8	-210.1	-247.3	-302.9	-279.4	-242.4	-242.0
Trade balance	-298.3	-227.6	-254.2	-263.5	-262.1	-298.2	-352.1	-325.8	-285.0	-290.1
Exports (f.o.b.) 1/	40.5	35.3	30.3	32.9	41.1	48.1	52.3	56.4	60.3	64.6
Imports (f.o.b.)	-338.8	-262.9	-284.4	-296.4	-303.3	-346.2	-404.3	-382.2	-345.3	-354.7
Of which: Mineral fuels	-64.5	-40.4	-43.7	-49.8	-54.1	-59.1	-64.2	-61.0	-56.9	-57.2
Travel (net)	158.4	116.4	119.0	127.1	133.2	141.7	151.4	161.4	172.5	184.8
Other services (net)	-61.6	-47.8	-42.5	-45.2	-48.7	-52.4	-55.3	-58.2	-61.1	-64.2
Income (net)	-49.3	-66.1	-51.4	-51.4	-59.3	-62.4	-71.7	-82.4	-95.5	-100.2
Transfers (net)	37.2	39.7	31.9	25.2	26.8	24.1	24.8	25.6	26.6	27.7
Capital and financial account	269.8	229.7	167.7	193.8	164.8	226.5	275.8	249.1	202.7	189.9
Capital account (transfers)	40.0	32.3	40.2	48.4	46.2	44.0	44.9	46.1	47.3	48.6
Financial account	229.8	197.4	127.6	145.4	118.5	182.6	230.8	203.0	155.4	141.3
Public sector borrowing (net)	19.3	16.5	5.9	-4.3	-6.7	23.3	39.6	26.5	7.8	5.2
Direct investment (net)	142.2	102.6	60.2	48.6	50.9	94.6	150.6	131.7	98.0	102.9
Portfolio investment (net)	-0.3	8.4	-0.8	4.8	5.0	5.2	5.4	5.7	6.0	6.3
Change in NFA of commercial bank	51.7	-4.6	5.7	28.9	3.1	3.0	2.1	1.2	0.3	0.3
Other investments (net)	16.9	63.6	54.6	47.8	66.4	56.5	33.0	38.0	43.4	26.6
Net errors and omissions	-68.3	-45.8	13.4	15.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	-12.0	-1.4	-16.0	-0.9	13.3	2.1	-0.9	-5.4	-6.3	-0.9
Available financing	12.0	1.4	16.0	-0.9	13.3	2.1	-0.9	-5.4	-6.3	-0.9
Change in NFA	6.4	-8.3	9.6	-2.0	15.1	2.6	1.9	-0.4	-0.7	-0.9
Change in net imputed reserves	6.4	-8.3	9.6	-2.0	15.1	2.6	1.9	-0.4	-0.7	-0.9
Of which: due to SDR allocation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in medium- and long-term	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	1.0
IMF purchases and disbursements	8.5	12.0	6.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0
IMF repurchases and repayments	-2.9	-2.3	0.0	-0.3	-0.5	-0.5	-2.7	-5.0	-5.6	-5.3
Exceptional financing 2/	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap 3/			0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(In percent of GDP)										
Current account	-25.7	-23.9	-25.2	-25.3	-24.4	-27.5	-32.1	-28.2	-23.3	-22.2
Trade balance	-35.8	-29.3	-32.4	-32.1	-30.5	-33.1	-37.3	-32.9	-27.4	-26.6
Exports of goods	4.9	4.6	3.9	4.0	4.8	5.3	5.5	5.7	5.8	5.9
Imports of goods	-40.7	-33.9	-36.3	-36.1	-35.3	-38.5	-42.8	-38.6	-33.2	-32.5
Travel (net)	19.0	15.0	15.2	15.5	15.5	15.7	16.0	16.3	16.6	16.9
Other services (net)	-7.4	-6.2	-5.4	-5.5	-5.7	-5.8	-5.8	-5.9	-5.9	-5.9
Income and current transfers (net)	-1.5	-3.4	-2.5	-3.2	-3.8	-4.3	-5.0	-5.7	-6.6	-6.6
Capital and financial account	32.4	29.6	21.4	23.6	19.2	25.2	29.2	25.1	19.5	17.4
Public sector	2.3	2.1	0.8	-0.5	-0.8	2.6	4.2	2.7	0.8	0.5
Private sector	30.1	27.5	20.6	24.1	19.9	22.6	25.0	22.5	18.7	16.9
Of which: Direct investment (net)	17.1	13.2	7.7	5.9	5.9	10.5	15.9	13.3	9.4	9.4
Overall balance	-1.4	-0.2	-2.0	-0.1	1.6	0.2	-0.1	-0.5	-0.6	-0.1
(Annual percentage change)										
Exports of goods	-0.6	-12.8	-14.3	8.6	25.1	16.9	8.7	7.9	7.1	7.1
Imports of goods	3.3	-22.4	8.2	4.2	2.3	14.2	16.8	-5.5	-9.6	2.7
Travel (net)	9.3	-26.5	2.2	6.8	4.8	6.3	6.8	6.6	6.9	7.1

Sources: Eastern Caribbean Central Bank; Ministry of Finance; and Fund staff estimates and projections.

1/ Re-exports increased sharply in 2007 upon completion of construction related to the 2007 Cricket World Cup.

2/ For 2009 includes debt rescheduling from the Paris Club and Taiwan Province of China—the latter is under negotiation for settlement.

3/ Includes possible debt restructuring.

Table 5. Grenada: Public Sector Debt, 2010–11

(Year end, in millions of U.S. dollars)

	2010			2011		
	Stock	Percent of Total Debt	Percent of GDP	Stock	Percent of Total Debt	Percent of GDP
Public Sector debt 1/	802.7	100.0	102.4	849.2	100.0	103.3
Central government debt	681.9	85.0	87.0	719.3	84.7	87.5
Central-government guaranteed debt	63.1	7.9	8.0	51.0	6.0	6.2
Other public sector debt	57.7	7.2	7.4	78.9	9.3	9.6
External debt	586.7	73.1	74.9	602.8	71.0	73.4
A. Central Government	494.2	61.6	63.1	492.9	58.0	60.0
1. Multilateral	212.1	26.4	27.1	211.4	24.9	25.7
CDB	114.4	14.2	14.6	115.0	13.5	14.0
IDA	44.0	5.5	5.6	45.2	5.3	5.5
IBRD	14.2	1.8	1.8	12.5	1.5	1.5
IMF	29.3	3.7	3.7	29.1	3.4	3.5
Other Multilateral	10.2	1.3	1.3	9.6	1.1	1.2
2. Official bilateral	83.0	10.3	10.6	82.4	9.7	10.0
Paris Club 2/	10.3	1.3	1.3	8.5	1.0	1.0
Belgium	1.5	0.2	0.2	0.0	0.0	0.0
France 4/	2.6	0.3	0.3	2.6	0.3	0.3
Russian Federation	0.2	0.0	0.0	0.2	0.0	0.0
United Kingdom	3.1	0.4	0.4	2.9	0.3	0.4
United States	2.9	0.4	0.4	2.8	0.3	0.3
Other	72.8	9.1	9.3	73.9	8.7	9.0
Kuwait 4/	20.6	2.6	2.6	19.9	2.3	2.4
Taiwan Province of China	27.7	3.5	3.5	30.5	3.6	3.7
Trinidad and Tobago	18.8	2.3	2.4	17.9	2.1	2.2
Other Bilateral	5.6	0.7	0.7	5.6	0.7	0.7
3. Commercial, total	199.1	24.8	25.4	199.1	23.5	24.2
Restructured Bonds 3/	193.5	24.1	24.7	193.5	22.8	23.6
Unrestructured Bonds	5.6	0.7	0.7	5.6	0.7	0.7
B. Central-Government Guaranteed	34.8	4.3	4.4	31.0	3.7	3.8
of which Paris Club	5.0	0.6	0.6	3.6	0.4	0.4
C. Other Public Sector	57.7	7.2	7.4	78.9	9.3	9.6
of which Petrocaribe	41.0	5.1	5.2	62.1	7.3	7.6
Domestic debt	216.0	26.9	27.6	246.4	29.0	30.0
A. Central Government	187.7	23.4	24.0	226.4	26.7	27.6
Treasury bills	49.4	6.2	6.3	81.6	9.6	9.9
RGSM	21.5	2.7	2.7	34.8	4.1	4.2
Private Placement	27.9	3.5	3.6	46.8	5.5	5.7
of which National Insurance Scheme	5.6	0.7	0.7	5.6	0.7	0.7
of which Petrocaribe Grenada	6.7	0.8	0.9	14.1	1.7	1.7
Bonds	72.4	9.0	9.2	76.5	9.0	9.3
Restructured Bonds	68.1	8.5	8.7	68.1	8.0	8.3
RGSM	1.0	0.1	0.1	1.0	0.1	0.1
Private Placements	0.0	0.0	0.0	4.2	0.5	0.5
Other Bonds (incl. Unrest. Bonds & Debentur	3.3	0.4	0.4	3.1	0.4	0.4
Compensation claims	14.8	1.8	1.9	14.8	1.7	1.8
Commercial Bank Loans	19.8	2.5	2.5	20.6	2.4	2.5
Overdraft	15.7	2.0	2.0	7.8	0.9	0.9
Domestic arrears	15.6	1.9	2.0	18.6	2.2	2.3
Other	0.0	0.0	0.0	6.6	0.8	0.8
B. Central-Government Guaranteed	28.3	3.5	3.6	19.9	2.3	2.4
C. Other Public Sector	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items:						
Nominal GDP	783.6			821.7		

Sources: Grenadian authorities and Fund staff estimates.

1/ Includes central government liabilities to the National Insurance Scheme

2/ Debt service obligations to the Paris Club were rescheduled in May 2006.

3/ External commercial bonds were restructured in November 2005.

4/ As of end-2011, the following debt was in arrears: US\$ 2.2 million owed to Kuwait and US\$ 0.4 million owed to France.

Table 6. Grenada: Medium-Term Macroeconomic Framework, 2009–17

(In percent of GDP, unless otherwise indicated)

	Actual	Est.		Projections					
	2009	2010	2011	2012	2013	2014	2015	2016	2017
Output and prices (in percent)									
Real GDP growth (in percent)	-5.7	-1.3	1.1	1.5	2.0	2.5	2.5	2.5	2.5
GDP deflator (in percent)	-0.2	1.1	4.5	3.0	2.7	2.4	2.4	2.4	2.4
CPI inflation (period average, in percent)	-0.3	3.4	3.0	3.2	2.2	2.0	2.0	2.0	2.0
CPI inflation (end of period, in percent)	-2.3	4.2	3.5	2.4	2.2	2.0	2.0	2.0	2.0
Gross national savings	-5.2	-4.8	-4.9	-4.2	-5.7	-8.5	-5.1	-1.0	0.2
Public	0.1	0.2	-1.4	-2.9	-2.9	-3.2	-2.9	-3.3	-2.8
Private	-5.3	-5.0	-3.5	-1.4	-2.8	-5.3	-2.3	2.4	3.0
Gross domestic investment	18.7	20.3	20.4	20.2	21.8	23.6	23.1	22.3	22.3
Public	3.5	3.3	3.4	2.2	2.8	3.6	3.1	2.3	2.3
Private	15.2	17.0	17.0	18.0	19.0	20.0	20.0	20.0	20.0
Central government operations 1/									
Total revenue and grants	22.6	24.2	22.3	21.5	20.7	20.6	20.5	20.4	20.3
Total revenue	19.4	20.3	19.1	18.6	18.6	18.6	18.6	18.6	18.6
Of which: tax revenue	18.1	19.1	18.1	17.6	17.6	17.6	17.6	17.6	17.6
Grants	3.3	4.0	3.2	2.9	2.1	2.0	1.9	1.8	1.7
Total expenditure	27.8	27.3	27.0	24.9	25.9	27.6	26.2	24.8	24.4
Current expenditure	20.3	20.2	19.6	20.2	19.9	19.9	19.6	19.8	19.4
Of which:									
Salaries and allowances	9.1	9.2	10.4	10.3	10.1	9.8	9.6	9.3	9.0
Goods and services	4.1	5.2	3.6	3.4	3.3	3.2	3.2	3.1	3.0
Interest payments	2.2	2.1	2.3	3.2	3.3	3.8	3.9	4.5	4.6
Transfers and subsidies	4.8	3.7	3.3	3.2	3.1	3.1	3.0	2.9	2.8
Capital expenditure	7.5	7.2	7.4	4.7	6.0	7.6	6.6	5.0	5.0
Primary balance (excluding grants)	-6.2	-4.9	-5.5	-3.1	-4.0	-5.2	-3.7	-1.6	-1.2
Primary balance (including grants)	-3.0	-1.0	-2.3	-0.2	-1.9	-3.2	-1.9	0.1	0.5
Overall balance (including grants)	-5.2	-3.1	-4.7	-3.5	-5.2	-7.0	-5.8	-4.4	-4.1
Total public sector debt	97.1	102.4	103.3	102.6	103.3	105.4	105.4	104.0	102.2
External debt	70.1	74.9	73.4	69.7	69.3	69.9	68.1	64.3	60.4
Domestic debt	27.0	27.6	30.0	33.0	34.0	35.5	37.3	39.6	41.8
External sector									
Exports of goods	4.6	3.9	4.0	4.8	5.3	5.5	5.7	5.8	5.9
Imports of goods	33.9	36.3	36.1	35.3	38.5	42.8	38.6	33.2	32.5
Travel (net)	15.0	15.2	15.5	15.5	15.7	16.0	16.3	16.6	16.9
Foreign direct investment	13.2	7.7	5.9	5.9	10.5	15.9	13.3	9.4	9.4
Current account	-23.9	-25.2	-25.3	-24.4	-27.5	-32.1	-28.2	-23.3	-22.2
Overall balance	-0.2	-2.0	-0.1	1.6	0.2	-0.1	-0.5	-0.6	-0.1
Imputed gross international reserves									
(in millions of U.S. dollars)	112.4	102.8	104.8	89.6	87.0	85.2	85.6	86.3	87.2
(in months of imports of goods and services)	5.1	4.3	4.2	3.5	3.0	2.5	2.7	3.0	2.9
Monetary sector									
Credit to private sector (change in percent)	4.5	5.6	2.2	2.3	4.7	4.9	4.9	5.0	5.0
Broad money (change in percent)	3.3	0.4	1.4	4.5	4.3	4.5	4.5	4.6	4.6
Memorandum items:									
	(in millions of U.S. dollars)								
Nominal GDP	776	784	822	860	900	944	991	1,040	1,092
Total public sector debt	753	803	849	882	930	995	1,045	1,081	1,116
External debt	544	587	603	599	624	661	675	669	660
Domestic debt	210	216	246	283	306	335	370	412	456

Source: Eastern Caribbean Central Bank; Ministry of Finance; and Fund staff estimates.

1/ Measured using above-the-line information.

Table 7. Grenada: Vulnerability Indicators, 2006–11

	Actual					Est.	Latest
	2006	2007	2008	2009	2010	2011	Available
Real sector indicators							
Real GDP growth (percent)	-4.4	6.3	1.7	-5.7	-1.3	1.1	
CPI inflation (period average, in percent)	4.3	3.9	8.0	-0.3	3.4	3.0	Dec
Financial sector indicators							
Regulatory capital to risk-weighted assets	17.5	15.6	15.1	15.9	16.5	15.2	Dec
Regulatory Tier 1 capital to risk-weighted assets	13.2	13.3	13.0	13.8	15.0	13.7	Dec
Nonperforming loans net of provisions to capital	12.4	10.9	15.1	25.2	33.8	50.2	Dec
Nonperforming loans to total gross loans	3.7	3.5	3.5	5.9	7.6	9.4	Dec
o/w Foreign banks	3.1	3.2	3.1	5.8	6.4	8.9	Dec
Sectoral distribution of loans to total loans							
o/w Residents	92.1	92.9	93.9	94.4	95.0	95.9	Dec
o/w Other financial corporations/1	0.2	0.4	0.6	0.6	0.4	0.5	Dec
o/w General government/2	7.1	6.9	8.6	9.0	7.6	7.0	Dec
o/w Nonfinancial corporations/3	30.8	30.8	30.0	28.9	30.6	30.0	Dec
o/w Nonresidents	7.9	7.1	6.1	5.6	5.0	4.1	Dec
Return on assets	2.5	2.1	1.9	1.3	1.2	0.3	Dec
Return on equity	25.2	19.5	17.3	12.1	9.2	2.2	Dec
Net interest income to Total income	54.0	52.2	50.4	52.7	53.0	50.6	Dec
Noninterest expenses to gross income	66.4	66.2	64.6	69.2	68.2	70.3	Dec
Liquid assets to total assets	31.2	27.6	24.1	21.7	20.7	22.6	Dec
Liquid assets to short-term liabilities	34.2	30.6	26.8	24.1	23.3	25.1	Dec
Net foreign currency exposure to total capital	101.4	65.7	47.1	37.8	34.7	24.6	Dec
U.S. treasury bill rate (percent per annum)	4.7	4.4	1.5	0.1	0.3	0.1	Jan 2012
Treasury bill rate (percent per annum) 4/	6.5	6.5	6.3	6.5	6.0	6.0	Dec
External sector indicators							
Exchange rate (per US\$, end of period)	2.7	2.7	2.7	2.7	2.7	2.7	Apr 2012
REER appreciation (percent change on 12-month basis, end of period)	-4.6	-0.4	6.4	-8.8	3.1	-2.9	December
Gross international reserves of the ECCB (in US\$ millions)	696.0	764.5	759.0	800.8	810.7	926.0	December
Gross international reserves to broad money in ECCU countries (percent)	18.6	18.6	17.0	17.6	17.4	17.6	December
Public gross external debt (in US\$ million)	457.2	479.2	509.0	543.7	586.7	602.8	December
Public gross external interest payments to fiscal revenue (percent)	3.7	5.1	4.5	6.6	6.2	6.0	December
Public gross external amortization payments to fiscal revenue (percent)	3.7	5.0	4.7	5.7	7.7	-22.7	December
Public sector indicators							
		(in percent of GDP)					
Central government overall balance (after grants)	-4.9	-6.3	-4.1	-5.2	-3.1	-4.7	December
Public and publicly-guaranteed gross external debt	92.6	88.9	83.7	97.1	102.4	103.3	December

Sources: Ministry of Finance; Eastern Caribbean Central Bank; and Fund staff estimates and projections.

1/ Includes Non-Bank Financial Institutions

2/ Includes Subsidiaries and Affiliates and Private Businesses

3/ Includes Households

4/ Rate on 365-day treasury bills.

Attachment I. Grenada: Risk Assessment Matrix¹

Nature/Source of Main Risks	Likelihood of Realization in the Next Three Years	Expected Impact on Economy if Risk is Realized
Worsening of government financing conditions	Staff assessment: Medium to High - Market confidence could falter against the backdrop of high debt (103 percent of GDP) and increased rollover needs with short-term Treasury bills now accounting for 10 percent of GDP, after large issuance in 2011. - Risks may heighten if: - Arrears accumulation continues and fiscal deficits remain high. - Government does not set out in a timely manner a credible medium-term fiscal consolidation strategy.	Staff assessment: High - Reduced ability to provide public services could have considerable social impact. - Inability to provide governmental counterpart financing for donor-funded infrastructure projects could hurt the fragile recovery. - With credit growth at only 2 percent, an increase in risk aversion could freeze up credit to the private sector, stalling the recovery. - Arrears accumulation starves private sector of much-needed working capital.
Strong intensification of the Euro area crisis	Staff assessment: Medium. - While risks seemingly receded since late 2011, the global recovery remains fragile. In this environment, any negative surprises, which cannot be precluded, may disproportionately affect confidence. - Grenada would be exposed through a decline in tourist arrivals, of which 1/2 come from either the US or UK. - In addition, FDI could continue to stay away and external grants (3¾ percent of GDP) and remittances (4 percent of GDP) could fall.	Staff assessment: Medium to High - Grenada is highly dependent on tourism, which constitutes 70% of exports and 20% of output. - Another 15 percent drop in tourist arrivals—half as much as during the global crisis—would worsen Grenada's current account by roughly 2½ percent of GDP and would have considerable adverse growth impacts. - Continued absence of FDI would further exacerbate the tilt in the financial account towards debt financing.
ECCU region's financial sector problems worsen	Staff assessment: Low to Medium Spillovers from weak regional could further jeopardize the balance sheets of local banks	Staff assessment: Medium - Would lower bank profitability and increase already-high NPLs (currently at 11 percent of total loans and 5 percent above the statutory limit) - A credit crunch would weaken domestic demand, lower growth, and increase unemployment. - Weak local banking institutions may become contingent liabilities for an already heavily-indebted public sector. - External financing inflows could fall and force more sudden current account adjustment.
A renewed and persistent oil price increase	Staff assessment: Medium - Heightened geopolitical uncertainty could trigger sharp oil price increases. - A growth resurgence in emerging markets may perpetuate higher oil prices through the medium term.	Staff assessment: Medium - Grenada relies entirely on oil for its energy and energy costs are among the highest in the region. Competitiveness would deteriorate further. - With profitability low in the corporate sector, considerable cost increases are likely to cause liquidity problems and defaults and subdue growth. - A further 50 percent oil price increase could worsen Grenada's current account by 3-3½ percent of GDP.
¹The Risk Assessment Matrix shows events that could materially alter the baseline path - the scenario most likely to materialize in the view of the staff.		



INTERNATIONAL MONETARY FUND

Public Information Notice

EXTERNAL
RELATIONS
DEPARTMENT

Public Information Notice (PIN) No. 12/xx
FOR IMMEDIATE RELEASE
[Month, dd, yyyy]

International Monetary Fund
700 19th Street, NW
Washington, D. C. 20431 USA

IMF Executive Board Concludes 2012 Article IV Consultation with Grenada

On [July 13, 2012] the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation with Grenada¹.

Background

Following two years of contraction, a fragile recovery seems to be underway. Real Gross Domestic Product (GDP) grew by 1.1 percent in 2011, mainly driven by the agriculture and tourism sectors. However, the unemployment rate remains high. Inflation has moderated to about 3.5 percent (y/y) at end February, reflecting the decline in international commodity prices. The external current account deficit remained unchanged in 2011, reflecting an increase in tourist receipts which offset the increase in imports and decrease in current transfers, but there are concerns about its medium-term sustainability.

The fiscal position deteriorated considerably in 2011. The primary deficit excluding grants reached 5½ percent of GDP, up from 4.9 percent of GDP in 2010, as the authorities extended the temporary tax breaks for the business sector resulting in significant revenue

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board. At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summing up can be found here: <http://www.imf.org/external/np/sec/misc/qualifiers.htm>.

shortfalls. Expenditures were also higher reflecting acceleration of some domestically financed capital projects as well as some new employment generating projects to help mitigate the large unemployment problem. At end-2011, the ratio of total public sector debt to GDP remained high at 103.3 percent of GDP.

The financial sector remains vulnerable. While system wide capital adequacy levels are above the required statutory levels, non performing loans (NPLs) have remained high and are twice the prudential guidelines set by ECCB. Provisioning against loan losses has not kept pace with the deterioration of asset quality and bank's returns are negative. The supervisory authorities have been actively encouraging banks to adopt measures needed to address the deterioration in loan quality, including through higher loan loss provisions and enhanced monitoring of loan portfolios.

The outlook is for low growth, high debt and weak fiscal positions. Under current policies, real GDP growth is expected to reach 2½ percent over the medium-term. Headline inflation is expected to return to its long-run trend of 2 percent by 2014. The primary deficit excluding grants is expected to remain in the range of 1–1½ percent of GDP and the current account deficit will remain elevated at 22 percent of GDP. Public debt is expected to remain at over 100 percent of GDP and finding new funding sources could be difficult given the record issuance of T-bills both on the regional market and in private placements in 2011. In the financial sector, failure to address the deterioration of asset quality could undermine confidence and entail fiscal risks. In addition, spillovers from banking sector problems in the region, which have been contained so far, could exacerbate these risks. The risks to the outlook are tilted to the downside given the current weak and uncertain pace of the global recovery and world commodity prices.

Executive Board Assessment

Public Information Notices (PINs) form part of the IMF's efforts to promote transparency of the IMF's views and analysis of economic developments and policies. With the consent of the country (or countries) concerned, PINs are issued after Executive Board discussions of Article IV consultations with member countries, of its surveillance of developments at the regional level, of post-program monitoring, and of ex post assessments of member countries with longer-term program engagements. PINs are also issued after Executive Board discussions of general policy matters, unless otherwise decided by the Executive Board in a particular case.